

Indonesia Consumer

Navigating the sector through tough times

Consumer names under our coverage have outperformed the JCI by +1% to +62% YTD despite multiple headwinds. That said, absolute returns remain poor: only MAPI is up +30% YTD, while the rest are down -31% to +2% YTD. We acknowledge that investor appetite for Indonesian consumer exposure has been low this year, but we see a selective opportunity to accumulate quality names for longer-term holdings. Sector valuations have de-rated inline with market valuation (30% YTD) despite minimal earnings cuts for companies under our coverage. We believe the consumer sector will be one of the beneficiaries of a broader market rally and would urge investors to position selectively.

- **Top picks are Indofood Group (ICBP, INDF) and MAPA (sports retail).** We downgrade AMRT and MAPI to Neutral, and maintain UW on UNVR. Our positive view on ICBP & INDF is underpinned by (1) an undemanding valuation for the world's largest instant noodle manufacturer, (2) cost headwinds (CPO, packaging) that should begin to abate, and (3) a likely moderation in negative earnings revisions. For MAPA, we see resilient sports demand (14% revenue growth CAGR in FY25–27E) alongside an undemanding valuation (~10x P/E for ~13% EPS CAGR).
- **Headwinds are easing.** We think the market has largely priced in (1) higher input costs (packaging and USD strength) and (2) a weak demand backdrop. Some of the pressures are now moderating oil has eased back to ~USD70/bbl - and we expect YTD negative earnings revisions to start stabilizing. While demand remains soft, Indonesia's improved fiscal position from lower energy subsidies reduces the risk of 2H fuel price hikes and/or cuts to social spending/cash handouts.
- **We downgraded MAPI and AMRT for different reasons.** MAPI has already delivered a strong performance (+30% YTD vs JCI -32%) as the company plans a mandatory tender offer (MTO) at IDR1,550/share; we expect renewed price discovery post-MTO, limiting upside. AMRT also appears to be entering a price discovery phase as the market reprices for (1) slower topline growth and (2) less margin upside, given wage pressure and intensified competitive pricing.
- **Key risks to our Neutral/UW calls:** Our relative safe haven and easing input-cost thesis could also support UNVR, but we stay UW given (1) lofty valuation (AMRT ~14x and UNVR ~17x P/E vs coverage ~5-10x FY27E) and (2) muted topline growth. Separately, AMRT remains a foreign-investor favorite and could see disproportionate inflows if earnings visibility improves.

ASEAN Metals, Indo Auto & Consumer Research

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Equity Ratings and Price Targets

Company	Ticker	Mkt Cap (\$ mn)	Price CCY	Price	Rating		Price Target			
					Cur	Prev	Cur	End Date	Prev End Date	
Indofood CBP	ICBP IJ	4,374.35	IDR	6,750	OW	n/c	7,900	Dec-27	12,900	Dec-25
Indofood Sukses Makmur	INDF IJ	3,378.74	IDR	6,925	OW	n/c	8,450	Dec-27	9,450	Dec-25
MAP Aktif Adiperkasa	MAPA IJ	974.14	IDR	615	OW	n/c	845	Dec-27	1,025	Jun-26
Mitra Adiperkasa	MAPI IJ	1,397.53	IDR	1,515	N	OW	1,270	Dec-27	1,690	Jun-26
Alfamart	AMRT IJ	3,218.99	IDR	1,395	N	OW	1,530	Dec-27	2,820	Jun-26
Unilever Indonesia Tbk	UNVR IJ	3,815.99	IDR	1,800	UW	n/c	1,240	Dec-27	1,060	Jun-27

Source: Company data, Bloomberg Finance L.P., J.P. Morgan estimates. n/c = no change. All prices as of 03 Jul 26.

See page 35 for analyst certification and important disclosures, including non-US analyst disclosures.

Figure 1: Summary of key changes in ratings, PT, earnings and multiples assigned

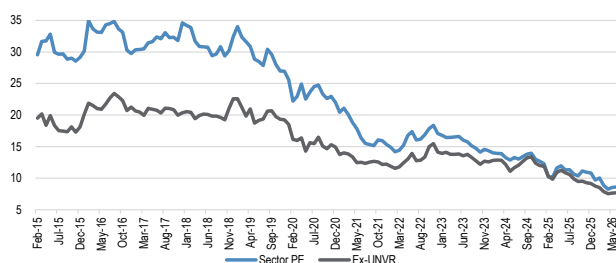
IDR	Rating		Upside/ Downside	PT			Earnings			Note	Multiples			Note
	Old	New		Old	New	Change	Old	New	Change		Old	New	Change	
	ICBP	OW	OW	13.7%	12,900	7,900	-39%	12,691	10,225	-19%	Earnings change reflects lower noodle magins on higher input costs and lack of ASP hike in 2026	14.0	9.0	-36%
INDF	OW	OW	22.0%	9,450	8,450	-11%	12,503	12,214	-2%	Lower earnings in ICBP offset by higher CPO price	6.7	6.1	-9%	SOTP based PT, change is lower than ICBP as we assume lower SOTP discount
MAPA	OW	OW	37.4%	1,025	845	-18%	2,151	2,189	2%	Earnings change reflects a more conservative SSSG assumption	16.5	11.0	-33%	Change in multiple inline with market multiples. Roll forward earnings base to 2027 from 2026 previously
MAPI	OW	N	-16.2%	1,690	1,270	-25%	2,543	2,641	4%	Earnings change reflects stronger performance from Digimap, offsetting MAPA's slight downgrade	13.0	8.0	-38%	Change in multiple inline with market multiples. Roll forward earnings base to 2026 previously
AMRT	OW	N	9.7%	2,820	1,530	-46%	4,922	4,189	-15%	Earnings change reflects 1) lower topline growth assumption on lower store expansion and 2) margin cuts on lower GPM	27.0	15.0	-44%	Change in multiples partially reflects lower growth outlook. Roll forward earnings base to 2027 from 2026 previously
UNVR	UW	UW	-31.1%	1,060	1,240	17%	3,614	3,941	9%	Earnings upgrade reflects lower opex assumptions, due to lower advertising spend, partially offset by a weaker topline outlook & higher input costs	12.0	12.0	-	No change in multiple, reflecting our unchanged cautious view on growth and market share losses. Roll forward earnings base to Dec-27 from Jun-27 previously
MXID (MSCI Indonesia)						-36%			-8%	2026 earnings cut	13.0	8.5	-35%	

Source: Bloomberg Finance L.P., as of 3rd July 2026

We are selective in Indonesia's consumer space, preferring high-end retailers followed by select staples. Our selectivity stems from a continued K-shaped recovery that impacts the growth outlook for consumer staple companies. We believe the sector remains challenged on three key fronts: 1) rising competitive intensity that is compressing pricing power; 2) weak consumer purchasing power driving downtrading, resulting in 3) negative pricing impact at a time when input costs have increased and, ultimately, 4) subdued earnings delivery. These factors have led to a broad-based sector de-rating over the last 2 years and we are adjusting our valuation mental framework to accommodate for these factors.

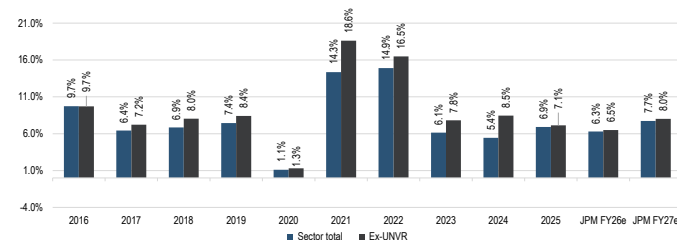
Investing in Indonesia's consumer companies has historically promised double-digit topline growth, driven by strong pricing power and volume growth which is underpinned by a growing population and better distribution penetration. The situation has significantly changed as 1) inflation has remained subdued at ~3% in the last 5 years and 2) we have more competition coming in, especially from China ([see our last year's assessment note](#)). The resulting impact is not trivial. Staple companies under our coverage have undershot growth expectations and their valuation has significantly compressed (see Figure 5 for P/E multiples). Consumer discretionary companies that we cover have continued to enjoy growth. The dispersion in growth is largely attributable to a K-shaped recovery in Indonesia, and also Indonesia's strong affinity for foreign branded products. Having said that, multiple compression has also followed discretionary companies despite strong earnings delivery. Size, liquidity and also concerns on currency continue to negatively weigh the thesis for investing in MAPI.

Figure 2: Sector valuations for our coverage universe have de-rated materially in the last 2 years



Source: Bloomberg Finance L.P.

Figure 3: Growth delivery was never above expectations in the last decade

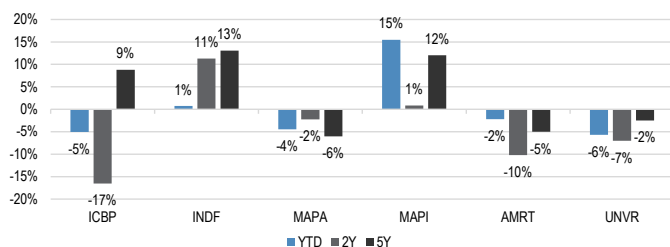


Note: Sector accounts for our coverage: ICBP, INDF, UNVR, AMRT, MAPI and MAPA
Source: Bloomberg Finance L.P.

How do we proceed from here? Three key developments have reshaped our framework over the past few months. Increases in commodity prices (CPO, wheat) alongside oil-derivative costs are likely to weigh on margins across our FMCG coverage in 2Q and 3Q26 results. Packaging costs in particular - which account for 5–15% of COGS for FMCG companies - could hurt HPC companies with higher packaging needs such as UNVR - though companies with pricing power are well-positioned to absorb these. Second, **ownership dynamics have moved against us**. Foreign ownership across our coverage has trended lower over the past 12-18 months (see Figure 4), following a broad-based selloff in the Indonesian equity market. Some companies under our coverage have also been excluded from MSCI's EM standard cap index in the last 1-year, with AMRT removed from the standard cap index in May -26 and similarly ICBP in Nov-25. There are currently no consumer companies represented in the MSCI EM index for Indonesia. The removal means that investors benchmarked to MSCI EM will be investing off-index for owning companies under our coverage. This off-index positioning, while a near-term headwind, sets up a powerful re-rating catalyst should flows return.

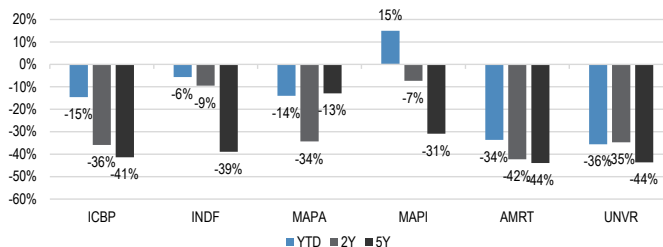
Local institutions are unable to entirely absorb foreign selling. Local institutions (mutual and pension funds) have begun selectively rotating back into consumer (see Figure 10). Local institutional ownership (% of free-float) has risen in our preferred names - ICBP (+3.1% y/y, +1.7% YTD) and MAPA (+2.8% y/y, +2.9% YTD) - and the YTD moves show this is still playing out. The buying has been selective - local ownership has fallen/ remained flat in the names where the outlook has weakened, namely MAPI (-17.7% y/y, -16.1% YTD) and AMRT (+0.7% y/y, +1.0% YTD), in line with our Neutral ratings on both. Two names run the other way - 1) INDF has seen local ownership drift lower (-3.7% y/y); and 2) UNVR has drawn local buying (+4.9% y/y, +3.3% YTD) off a low base, but we would not chase this given limited fundamental support. The bigger picture is constructive. With consumer names now out of the MSCI EM index, the marginal buyers have shifted from both active and passive foreign investors who are usually more sticky to local investors who are more myopic in nature.

Figure 4: But perhaps a change in foreign ownership matters as all stocks saw selling YTD but MAPI



Source: Kustodian Sentral Efek Indonesia (KSEI)

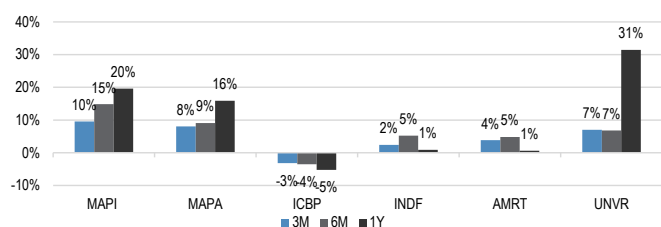
Figure 5: Change in 1Y fwd earnings multiple



Source: Bloomberg Finance L.P.

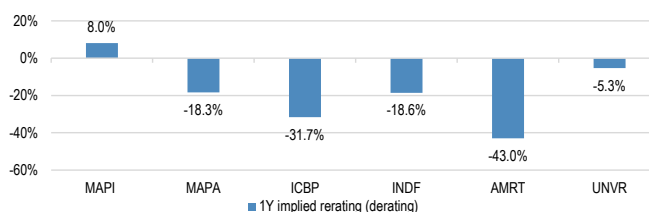
Valuation is the silver lining, if there is any. Indonesian consumer companies are never yield plays. However, valuations have fallen to such an extreme that yields have become an integral component of the conversation. We remain selective on our picks in the space, preferring **MAPA, INDF and ICBP**. Our OWs screen does well on two filters: 1) the ability to pass on input cost inflation through price hikes and 2) earnings resilience that is not contingent on a broader consumer recovery. That said, a massive value unlocking will need foreign investors coming back to invest in the consumer space, in our view. To do that, we need better currency stability, a more sanguine outlook on growth and ultimately clear and consistent policy making. Until then, we believe there will be a cap on valuations and stocks could remain cheap for a long time. This is also why we downgrade AMRT to Neutral and also keep UNVR on Underweight. AMRT still trades at a lofty 14x 1-yr forward P/E multiple at a time when the entire sector is trading at single-digit multiples. Its growth outlook has also deteriorated with the company guiding down store expansion and margins looking tough with rising competition. Valuations relative to history look compelling, but we believe the precedent for historical valuations has no place today. We also downgrade MAPI to Neutral as the stock has outperformed the broader index by +62% YTD, driven by a mandatory tender offer at IDR1,550/sh.

Figure 6: 1-yr blended forward earnings revisions. MAPI, MAPA and UNVR saw solid upgrade trends...



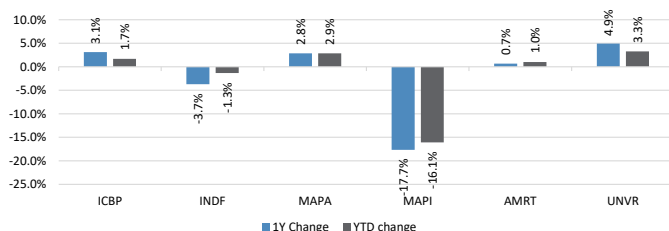
Source: Bloomberg Finance L.P.

Figure 7: ...but multiples have largely de-rated across the entire sector



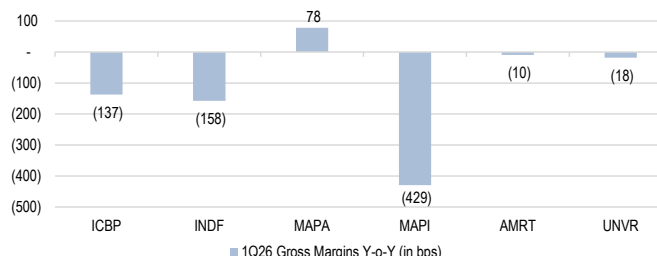
Source: Bloomberg Finance L.P.

Figure 8: Change in Local Institutional Ownership



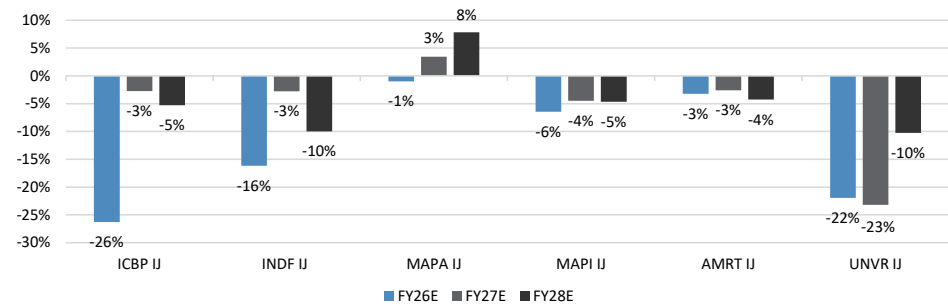
Source: KSEI

Figure 9: Change in 1Q26 Gross Margins



MAPI's decline due to product mix (iPhone)
Source: Company Data

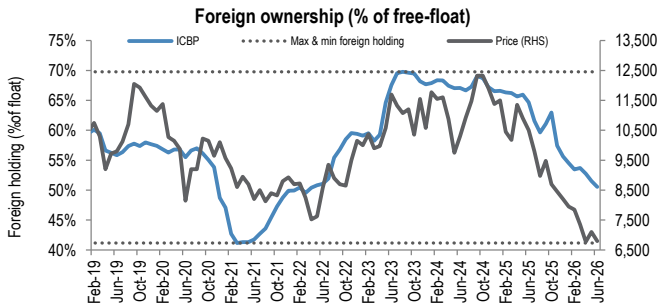
Figure 10: JPM vs. Bloomberg consensus estimates



Source: J.P. Morgan estimates, Bloomberg Finance L.P.

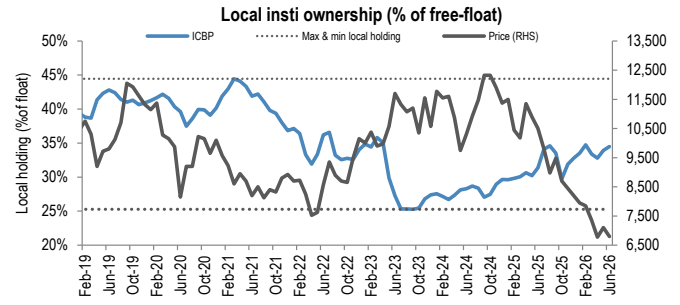
FII & DII shareholding trend for stocks under coverage

Figure 11: ICBP foreign ownership trend



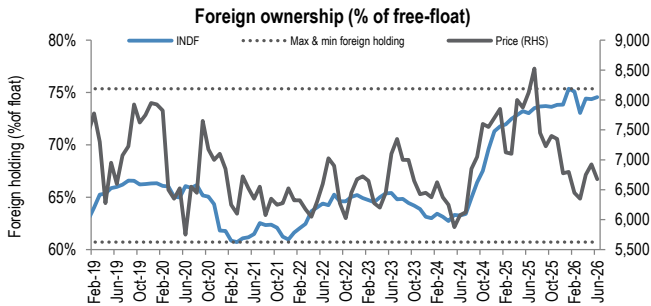
Source: KSEI

Figure 12: INDF local institutional ownership trends



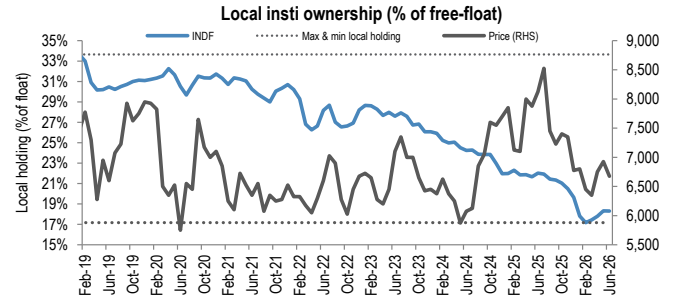
Source: KSEI

Figure 13: INDF foreign ownership trend



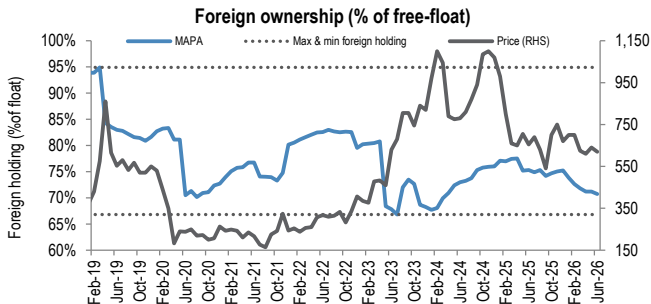
Source: KSEI

Figure 14: INDF local institutional ownership trend



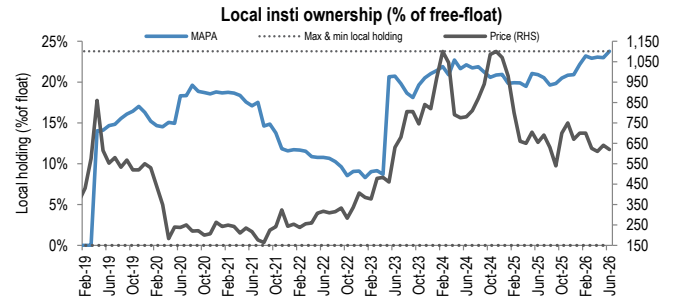
Source: KSEI

Figure 15: MAPA foreign ownership trend



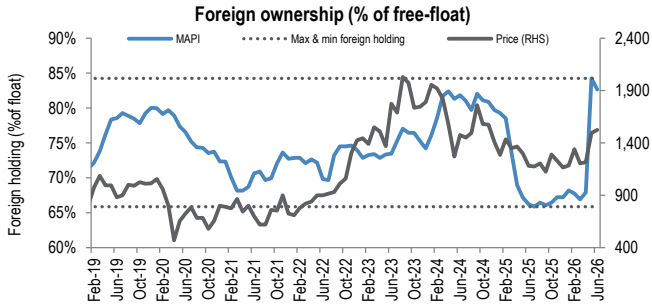
Source: KSEI

Figure 16: MAPA local institutional ownership trend



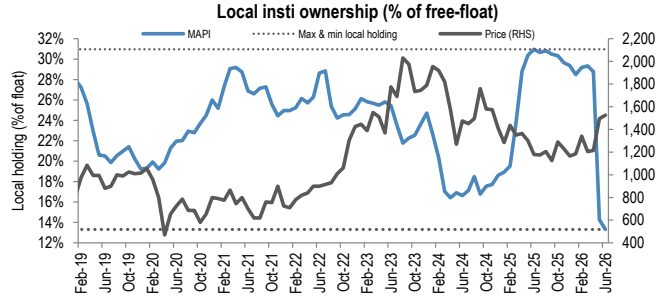
Source: KSEI

Figure 17: MAPI foreign ownership trend



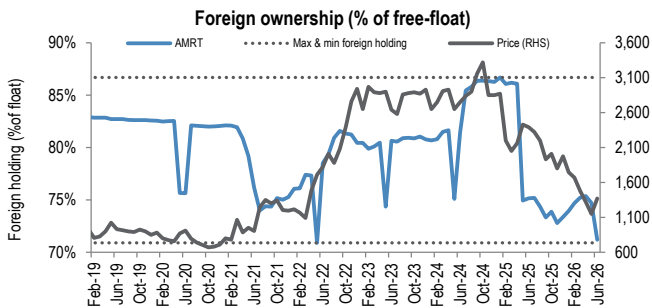
Source: KSEI

Figure 18: MAPI local institutional ownership trend



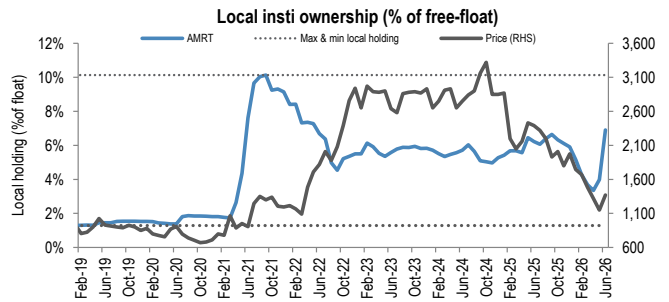
Source: KSEI

Figure 19: AMRT foreign ownership trend



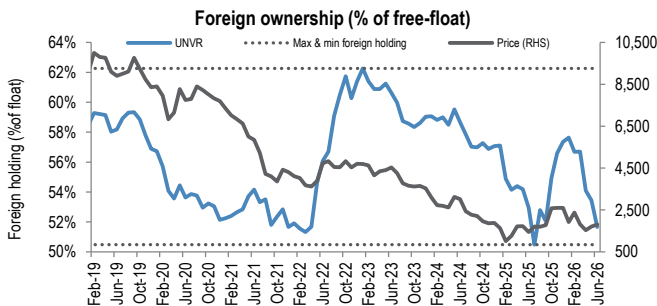
Source: KSEI

Figure 20: AMRT local institutional ownership trend



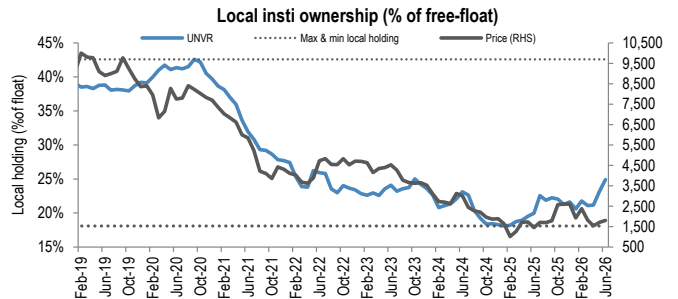
Source: KSEI

Figure 21: UNVR foreign ownership trend



Source: KSEI

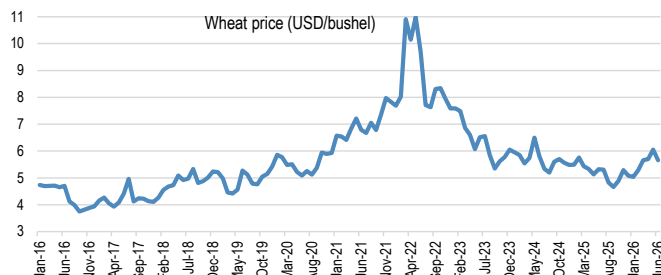
Figure 22: UNVR local institutional ownership trend



Source: KSEI

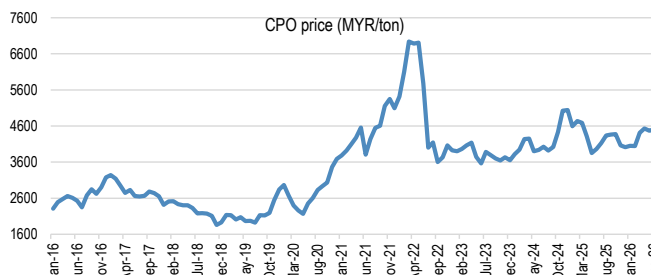
Relevant Input Cost Trends

Figure 23: Wheat price trend



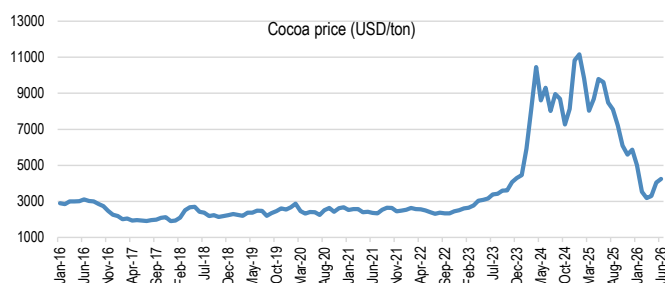
Source: Bloomberg Finance L.P.

Figure 24: CPO price trend



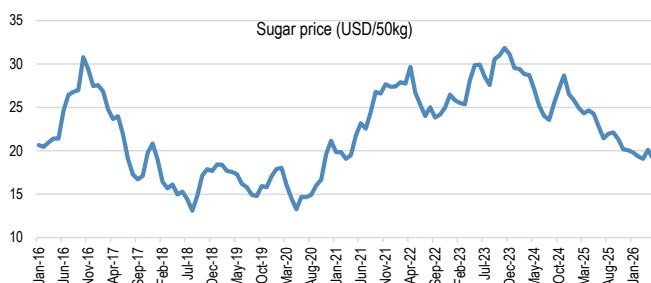
Source: Bloomberg Finance L.P.

Figure 25: Cocoa price trend



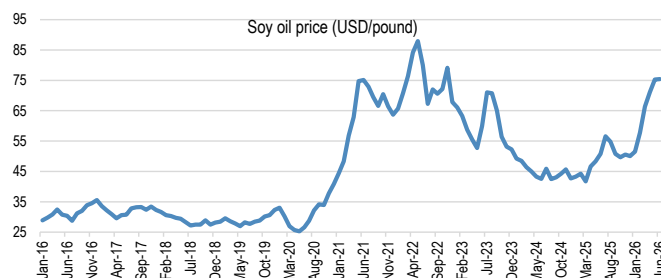
Source: Bloomberg Finance L.P.

Figure 26: Sugar price trend



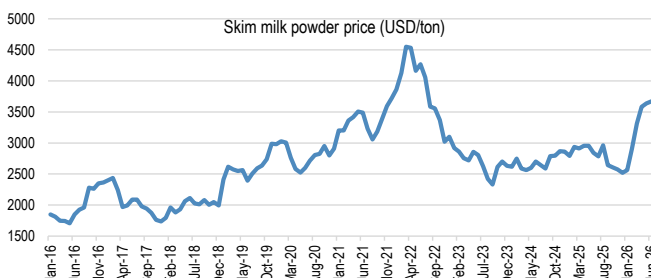
Source: Bloomberg Finance L.P.

Figure 27: Soy oil price trend



Source: Bloomberg Finance L.P.

Figure 28: Skim milk powder price trend



Source: Bloomberg Finance L.P.

Overweight

ICBP.JK, ICBP.IJ

Price (03 Jul 26):Rp6,750

▼ **Price Target (Dec-27):Rp7,900**

Prior (Dec-25):Rp12,900

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Key Changes (FYE Dec)

	Prev	Cur	Δ
Adj. EPS - 26E (Rp)	1,020.18	604.53	-40.7%
Adj. EPS - 27E (Rp)	1,088.28	876.81	-19.4%

Style Exposure

Quant Factors	Current	Hist %Rank (1=Top)			
	%Rank	6M	1Y	3Y	5Y
Value	32	27	40	37	32
Growth	51	32	24	19	24
Momentum	82	87	37	11	61
Quality	24	43	43	58	6
Low Vol	3	3	16	14	1

Indofood CBP

Lowering estimates amid commodity and FX headwinds

We retain Overweight on ICBP but cut our PT by 39% to IDR7,900, implying ~14% upside. The cuts in our estimates mostly reflect weakening IDR, resulting in higher FX losses. We cut core (ex-FX) earnings by 24-19% for FY26-27E, mostly reflecting lower margins in the noodle business this year.

While 1Q26 results were broadly in line with expectations, we believe the trajectory of earnings recovery is likely to be more gradual. We expect to see a weak 2Q earnings showing due to higher packaging costs and lower noodle volumes. Margins should then recover in 3Q onwards, but we now see close to 200bps reduction in blended EBIT margin for ICBP due to lack of price increases in the noodle business.

What has changed: Key commodity prices have moved against us - CPO is already up +12% YTD - and an 82% probability of El Niño during May - July 2026 with a one in three chance of escalating into a super El Niño should support CPO prices. On top of that, Indonesia's B50 biodiesel mandate and Malaysia's B15 implementation (effective June 1, up from B10) should also support CPO demand.

Compounding this, the IDR has depreciated -7.04% YTD, inflating the landed cost of USD-denominated imports. We now assume USD/IDR of 17,500 (from 16,700) and model more modest noodle ASP increases of 1% in FY26E (from 3.5% previously) as ICBP has not raised prices in 1H26. We estimate +/-2.9% sensitivity to FY26E NPATMI for every +/-100 move in the USD/IDR rate. We have also lowered EBIT margin assumptions across most business segments to reflect sustained input cost pressures. Consequently, our FY26/FY27E revenue forecasts decline by 3.7% and NPATMI estimates by -41%/19%, respectively.

Valuation remains the saving grace. ICBP now trades at 7.9x FY27E P/E which is one of the lowest multiples that the company has ever traded at since its listing. ICBP's operations remain robust and it is the largest instant noodle manufacturer in the world. We believe the market is overly discounting concerns on margins and even on our estimates, which are 26/3% (NPATMI) below street, the company looks very undemanding. We now value ICBP at 9x FY27E P/E, as we believe the earnings decline in FY26 (largely FX driven) is already discounted by the street.

Figure 29: Changes to Key Assumptions

	FY26E			FY27E		
	Old	New	Change	Old	New	Change
USD/IDR	16,700	17,500	800	16,700	17,500	800
ASP y/y growth						
Implied domestic & export sales	3.5%	1.0%	(250)	3.5%	3.5%	-
Pinehill	0.0%	0.0%	-	0.0%	2.0%	200
EBIT Margin						
Overall	22.7%	18.9%	(374)	22.7%	20.0%	(271)
Noodles (domestic)	24.5%	19.5%	(500)	24.5%	21.0%	(350)
Pinehill	30.5%	27.0%	(350)	30.5%	28.0%	(250)
Dairy	9.0%	8.0%	(100)	9.0%	8.0%	(100)
Snack food	10.0%	7.0%	(300)	10.0%	7.0%	(300)
Beverage	17.0%	14.0%	(300)	17.0%	14.0%	(300)

Source: J.P. Morgan estimates

Figure 30: Changes to Key Financials

IDR bn

	FY26E			FY27E		
	Old	New	% change	Old	New	% change
Revenue	82,079	79,040	-3.7%	87,699	84,444	-3.7%
EBITDA	20,646	16,911	-18.1%	22,091	18,945	-14.2%
EBIT	18,604	14,960	-19.6%	19,904	16,849	-15.4%
NPATMI	11,897	7,050	-40.7%	12,691	10,225	-19.4%

Source: J.P. Morgan estimates

Figure 31: JPME vs Bloomberg Consensus

IDR bn

	JPMe			Consensus			JPMe vs. Consensus		
	FY26E	FY27E	FY28E	FY26E	FY27E	FY28E	FY26E	FY27E	FY28E
Revenue	79,040	84,444	89,401	78,720	83,309	88,306	0.4%	1.4%	1.2%
EBITDA	16,911	18,945	20,084	18,156	19,471	20,641	-6.9%	-2.7%	-2.7%
EBIT	14,960	16,849	17,843	16,188	17,391	18,538	-7.6%	-3.1%	-3.7%
NPATMI	7,050	10,225	10,866	9,563	10,512	11,472	-26.3%	-2.7%	-5.3%

Source: J.P. Morgan estimates, Bloomberg Finance L.P.

Price Performance



	YTD	1m	3m	12m
Abs	-15.2%	6.5%	-5.8%	-35.4%
Rel	16.8%	7.6%	10.6%	-20.8%

Company Data

Shares O/S (mn)	11,662
52-week range (Rp)	10,850-5,925
Market cap (\$ bn)	4.37
Exchange rate	17,995.32
Free float (%)	19.5%
3M ADV (mn)	5.86
3M ADV (\$ mn)	2.2
Volatility (90 Day)	35
Index	JCI
BBG ANR (Buy Hold Sell)	26 6 0

Key Metrics (FYE Dec)

Rp in billions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Revenue	74,851	79,040	84,444	89,401
Adj. EBITDA	17,172	16,911	18,945	20,084
Adj. EBIT	15,666	14,960	16,849	17,843
Adj. net income	9,225	7,050	10,225	10,866
Adj. EPS	791.03	604.53	876.81	931.74
BBG EPS	794.20	822.08	908.96	984.52
Cashflow from operations	10,920	13,344	13,707	14,666
FCFF	9,826	13,831	12,098	13,056
Margins and Growth				
Revenue Growth Y/Y (%)	3.1%	5.6%	6.8%	5.9%
Same Store Sales Growth (%)	-	-	-	-
Gross margin	35.2%	-	-	-
EBITDA margin	22.9%	21.4%	22.4%	22.5%
EBITDA Growth Y/Y (%)	(2.4%)	(1.5%)	12.0%	6.0%
EBIT margin	20.9%	18.9%	20.0%	20.0%
Net margin	12.3%	8.9%	12.1%	12.2%
Adj. EPS growth	30.3%	(23.6%)	45.0%	6.3%
Ratios				
Net debt/EBITDA	1.0	0.6	0.1	NM
ROIC	-	-	-	-
ROE	19.1%	13.2%	17.2%	16.2%
Valuation				
FCFF yield	12.5%	17.6%	15.4%	16.6%
Dividend yield	3.7%	3.9%	3.1%	4.5%
EV/Revenue	1.4	1.3	0.9	0.9
EV/EBITDA	6.2	5.9	4.2	3.9
Adj. P/E	8.5	11.2	7.7	7.2

Summary Investment Thesis and Valuation

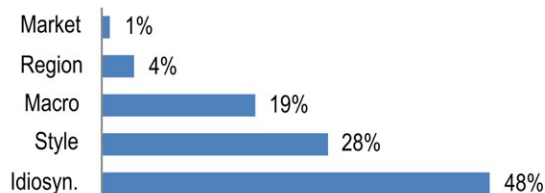
Investment Thesis

We are OW on ICBP. While elevated commodity costs and a weaker IDR are likely to pressure margins in the near term, we believe the market is already pricing in much of this risk. We expect core NPATMI (ex-FX) to decline 24% y/y in FY26E, implying a FY26-28E earnings CAGR of 3%. At ~8.8x trailing earnings, ICBP trades at a meaningful discount to its historical average despite its category leadership, resilient demand profile and strong cash generation. We remain -26%/3%/5% behind the Street consensus for FY26E/FY27E/FY28E, respectively.

Valuation

Our Dec-27 PT of IDR7,900/sh is based on 9x FY27E EPS. Our FY27E earnings are 3% lower than the street, likely reflecting a more conservative margin assumption for the noodle business.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.22	0.12
Region: Indonesia	0.47	0.20
Macro:		
JP Morgan GBI-EM Global Div	0.46	0.34
JPM EM Currency(EMCI) Fixing	0.43	0.28
Emerging Economies CPI(YoY)	0.33	0.23
Quant Styles:		
Quality	-0.34	-0.48
Momentum	-0.31	-0.36
Size	-0.36	-0.26

Investment Thesis, Valuation and Risks

Indofood CBP *(Overweight; Price Target: Rp7,900)*

Investment Thesis

We are OW on ICBP. While elevated commodity costs and a weaker IDR are likely to pressure margins in the near term, we believe the market is already pricing in much of this risk. We expect core NPATMI (ex-FX) to decline 24% y/y in FY26E, implying a FY26-28E earnings CAGR of 3%. At ~8.8x trailing earnings, ICBP trades at a meaningful discount to its historical average despite its category leadership, resilient demand profile and strong cash generation. We remain -26%/3%/5% behind the Street consensus for FY26E/FY27E/FY28E, respectively.

Valuation

Our Dec-27 PT of IDR7,900/sh is based on 9x FY27E EPS. Our FY27E earnings are 3% lower than the street, likely reflecting a more conservative margin assumption for the noodle business.

Risks to Rating and Price Target

Downside risks include: (1) material depreciation of the IDR, as input costs are USD-linked and 30% of the Pinehill business has significant exposure to the USD; (2) a sharp uptick in soft commodity prices; and (3) a macro downturn in both domestic and key Pinehill markets (Saudi Arabia).

Indofood CBP: Summary of Financials

Income Statement						Cash Flow Statement					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Revenue	72,597	74,851	79,040	84,444	89,401	Cash flow from operating activities	8,731	10,920	13,344	13,707	14,666
COGS	(45,704)	(48,491)	-	-	-	o/w Depreciation & amortization	1,408	1,507	1,951	2,096	2,241
Gross profit	26,893	26,360	-	-	-	o/w Changes in working capital	(1,490)	(1,342)	2,693	(455)	(418)
SG&A	(9,294)	(9,188)	-	-	-	Cash flow from investing activities	(288)	(4,524)	(2,654)	(2,550)	(2,550)
Adj. EBITDA	17,599	17,172	16,911	18,945	20,084	o/w Capital expenditure	(1,963)	(3,568)	(2,751)	(2,646)	(2,646)
D&A	(1,408)	(1,507)	(1,951)	(2,096)	(2,241)	as % of sales	2.7%	4.8%	3.5%	3.1%	3.0%
Adj. EBIT	16,191	15,666	14,960	16,849	17,843	Cash flow from financing activities	(2,504)	(2,473)	743	(2,468)	(3,579)
Net Interest	(3,432)	(3,171)	(4,146)	(1,328)	(1,328)	o/w Dividends paid	(2,332)	(2,915)	(3,090)	(2,468)	(3,579)
Adj. PBT	12,890	13,485	11,203	15,520	16,514	o/w Shares issued/(repurchased)	(382)	75	0	0	0
Tax	(2,686)	(2,965)	(2,454)	(3,403)	(3,622)	o/w Net debt issued/(repaid)	1,763	1,922	3,834	0	0
Minority Interest	(1,734)	(1,531)	(1,649)	(1,841)	(1,976)	Net change in cash	5,939	3,924	11,433	8,690	8,537
Adj. Net Income	7,079	9,225	7,050	10,225	10,866	Adj. Free cash flow to firm	9,484	9,826	13,831	12,098	13,056
Reported EPS	607.05	791.03	604.53	876.81	931.74	y/y Growth	23.1%	3.6%	40.8%	(12.5%)	7.9%
Adj. EPS	607.05	791.03	604.53	876.81	931.74						
DPS	200.00	250.00	265.00	211.59	306.88						
Payout ratio	32.9%	31.6%	43.8%	24.1%	32.9%						
Shares outstanding	11,662	11,662	11,662	11,662	11,662						
Balance Sheet						Ratio Analysis					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	25,293	29,216	40,649	49,339	57,876	Gross margin	37.0%	35.2%	-	-	-
Accounts receivable	8,412	9,869	8,012	8,560	9,063	EBITDA margin	24.2%	22.9%	21.4%	22.4%	22.5%
Inventories	7,060	7,999	7,579	8,097	8,573	EBIT margin	22.3%	20.9%	18.9%	20.0%	20.0%
Other current assets	3,904	4,070	4,070	4,070	4,070	Net profit margin	9.8%	12.3%	8.9%	12.1%	12.2%
Current assets	44,668	51,154	60,310	70,066	79,581	ROE	16.5%	19.1%	13.2%	17.2%	16.2%
PP&E	15,267	17,328	18,127	18,678	19,083	ROA	5.8%	7.1%	5.0%	6.8%	6.8%
LT investments	-	-	-	-	-	ROCE	14.7%	12.9%	11.4%	11.9%	11.8%
Other non current assets	66,107	67,063	66,967	66,870	66,774	SG&A/Sales	12.8%	12.3%	-	-	-
Total assets	126,041	135,544	145,404	155,614	165,437	Net debt/Equity	0.3	0.2	0.1	0.0	NM
Short term borrowings	185	577	0	0	0	Net debt/EBITDA	1.1	1.0	0.6	0.1	NM
Payables	4,101	4,568	4,764	5,090	5,389	Sales/Assets (x)	0.6	0.6	0.6	0.6	0.6
Other short term liabilities	6,638	7,171	7,392	7,677	7,939	Assets/Equity (x)	2.9	2.7	2.6	2.5	2.4
Current liabilities	10,925	12,316	12,156	12,767	13,327	Interest cover (x)	5.1	5.4	4.1	14.3	15.1
Long-term debt	44,874	46,404	50,815	50,815	50,815	Operating leverage	138.9%	(104.5%)	(80.5%)	184.6%	100.5%
Other long term liabilities	3,198	3,141	3,141	3,141	3,141	Tax rate	20.8%	22.0%	21.9%	21.9%	21.9%
Total liabilities	58,997	61,861	66,112	66,723	67,283	Revenue y/y Growth	6.9%	3.1%	5.6%	6.8%	5.9%
Shareholders' equity	45,217	51,520	55,479	63,237	70,524	EBITDA y/y Growth	9.0%	(2.4%)	(1.5%)	12.0%	6.0%
Minority interests	21,827	22,163	23,812	25,654	27,630	EPS y/y Growth	1.3%	30.3%	(23.6%)	45.0%	6.3%
Total liabilities & equity	126,041	135,544	145,404	155,614	165,437						
BVPS	3,877.36	4,417.78	4,757.31	5,422.54	6,047.39	Valuation					
y/y Growth	11.0%	13.9%	7.7%	14.0%	11.5%		FY24A	FY25A	FY26E	FY27E	FY28E
Net debt/(cash)	19,767	17,765	10,166	1,476	(7,061)	P/E (x)	11.1	8.5	11.2	7.7	7.2
						P/BV (x)	1.7	1.5	1.4	1.2	1.1
						EV/EBITDA (x)	6.4	6.2	5.9	4.2	3.9
						Dividend Yield	3.0%	3.7%	3.9%	3.1%	4.5%

Source: Company reports and J.P. Morgan estimates.

Note: Rp in billions (except per-share data). Fiscal year ends Dec. o/w - out of which

Overweight

INDF.JK, INDF IJ

Price (03 Jul 26):Rp6,925

▼ **Price Target (Dec-27):Rp8,450**

Prior (Dec-25):Rp9,450

ASEAN Metals, Indo Auto & Consumer Research

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PT J.P. Morgan Sekuritas Indonesia

Key Changes (FYE Dec)

	Prev	Cur	Δ
Adj. EPS - 26E (Rp)	1,327.04	1,092.32	-17.7%

Style Exposure

Quant Factors	Current	Hist %Rank (1=Top)			
	%Rank	6M	1Y	3Y	5Y
Value	1	1	1	1	1
Growth	35	43	30	66	80
Momentum	56	45	11	40	64
Quality	30	45	45	64	37
Low Vol	11	8	3	1	11

Figure 32: Changes to Key Financials

IDR bn

	FY26E			FY27E		
	Old	New	% change	Old	New	% change
Revenue	127,246	128,453	0.9%	133,778	134,934	0.9%
EBITDA	28,817	25,576	-11.2%	30,417	27,764	-8.7%
EBIT	24,664	21,449	-13.0%	26,077	23,448	-10.1%
NPATMI	11,904	9,591	-19.4%	12,503	12,214	-2.3%

Source: J.P. Morgan estimates

Indofood Sukses Makmur

Maintain OW - CPO exposure to mitigate ICBP weakness

We maintain **Overweight** on INDF but **cut our PT by -11% to IDR8,450/sh (+22% potential upside)**, reflecting our lower PT for ICBP. We are, however, more constructive on INDF compared to ICBP due to its 1) exposure to CPO assets and 2) Bogasari flour mill. INDF should benefit from elevated CPO prices, supported by El Niño and biodiesel mandates. Bogasari had also increased prices in May, which should sustain its upper guidance for EBIT margin.

INDF is the cheapest company within our consumer coverage, trading at 5x FY27E. This means that the company is paying ~6% yield next year even on FY26 earnings which is expected to decline by ~10% due to FX impact from its USD bond holdings. We leave our valuation unchanged. On valuation, we leave our operating assumptions largely unchanged but mark-to-market against our revised ICBP valuation and latest net cash/(debt) estimates to arrive at our new PT of IDR8,450/sh. We now apply a **25% SOTP discount** vs 40% (3Y avg), as we expect the discount to narrow given the strong commodity price regime. Our SOTP implies 6x FY27E earnings.

Figure 33: Changes to Key Financials

IDR bn

	JPMe			Consensus			JPMe vs. Consensus		
	FY26E	FY27E	FY28E	FY26E	FY27E	FY28E	FY26E	FY27E	FY28E
Revenue	128,453	134,934	140,881	130,209	136,835	145,827	-1.3%	-1.4%	-3.4%
EBITDA	25,576	27,764	29,066	28,433	30,349	32,348	-10.0%	-8.5%	-10.1%
EBIT	21,449	23,448	24,552	24,307	25,918	27,844	-11.8%	-9.5%	-11.8%
NPATMI	9,591	12,214	12,819	11,441	12,563	14,238	-16.2%	-2.8%	-10.0%

Source: J.P. Morgan estimates, Bloomberg Finance L.P.

Price Performance



	YTD	1m	3m	12m
Abs	2.2%	10.8%	4.5%	-14.5%
Rel	34.2%	11.9%	20.9%	0.1%

Company Data

Shares O/S (mn)	8,780
52-week range (Rp)	8,825-5,850
Market cap (\$ bn)	3.38
Exchange rate	17,995.32
Free float (%)	49.9%
3M ADV (mn)	10.52
3M ADV (\$ mn)	3.9
Volatility (90 Day)	32
Index	JCI
BBG ANR (Buy Hold Sell)	20 0 0

Key Metrics (FYE Dec)

Rp in billions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Revenue	123,493	128,453	134,934	140,881
Adj. EBITDA	26,836	25,576	27,764	29,066
Adj. EBIT	23,356	21,449	23,448	24,552
Adj. net income	10,685	9,591	12,214	12,819
Adj. EPS	1,216.87	1,092.32	1,391.02	1,459.97
BBG EPS	1,214.13	1,310.32	1,441.21	1,582.95
Cashflow from operations	22,125	20,007	20,165	21,290
FCFF	20,203	15,863	16,938	17,855
Margins and Growth				
Revenue Growth Y/Y (%)	6.7%	4.0%	5.0%	4.4%
Same Store Sales Growth (%)	-	-	-	-
Gross margin	-	-	-	-
EBITDA margin	21.7%	19.9%	20.6%	20.6%
EBITDA Growth Y/Y (%)	3.6%	(4.7%)	8.6%	4.7%
EBIT margin	18.9%	16.7%	17.4%	17.4%
Net margin	8.7%	7.5%	9.1%	9.1%
Adj. EPS growth	23.6%	(10.2%)	27.3%	5.0%
Ratios				
Net debt/EBITDA	0.9	0.5	0.1	NM
ROIC	-	-	-	-
ROE	15.5%	12.5%	14.4%	13.6%
Valuation				
FCFF yield	33.2%	26.1%	27.9%	29.4%
Dividend yield	4.0%	4.2%	4.7%	6.0%
EV/Revenue	1.1	1.0	0.8	0.7
EV/EBITDA	4.9	4.8	4.1	3.6
Adj. P/E	5.7	6.3	5.0	4.7

Summary Investment Thesis and Valuation

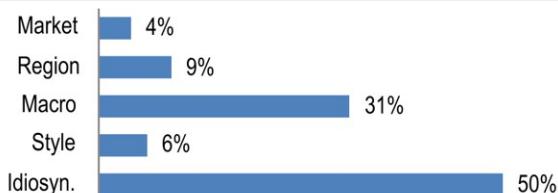
Investment Thesis

Our OW on INDF is premised on 1) higher CPO and wheat prices, resulting in 2) narrowing in the SOTP discount to ICBP. We remain cautious on reported earnings given IDR depreciation, while recognizing that earlier price hikes and easing input-cost pressures should help cushion margins. However, INDF's valuation remains undemanding at ~5x FY27E earnings, implying a ~6% yield.

Valuation

We cut our Dec-27 PT by -11% to IDR 8,450/sh and value INDF on an SOTP basis, where we use our ICBP estimates and the market price of its listed CPO business. We then assign a discount to SOTP, which is now at 25% (vs. 40% 3Y average), as we expect the discount to narrow given the higher CPO & wheat prices. Our SOTP implies 6x FY27E earnings.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.24	0.21
Region: Indonesia	0.27	0.30
Macro:		
Emerging Economies CPI(YoY)	0.67	0.56
Markit EM Composite PMI SA	-0.59	-0.42
JP Morgan GBI-EM Global Div	0.34	0.23
Quant Styles:		
Growth	-0.22	-0.27
Momentum	-0.21	-0.26
DivYld	0.24	0.23

Investment Thesis, Valuation and Risks

Indofood Sukses Makmur (Overweight; Price Target: Rp8,450)

Investment Thesis

Our OW on INDF is premised on 1) higher CPO and wheat prices, resulting in 2) narrowing in the SOTP discount to ICBP. We remain cautious on reported earnings given IDR depreciation, while recognizing that earlier price hikes and easing input-cost pressures should help cushion margins. However, INDF's valuation remains undemanding at ~5x FY27E earnings, implying a ~6% yield.

Valuation

We cut our Dec-27 PT by -11% to IDR 8,450/sh and value INDF on an SOTP basis, where we use our ICBP estimates and the market price of its listed CPO business. We then assign a discount to SOTP, which is now at 25% (vs. 40% 3Y average), as we expect the discount to narrow given the higher CPO & wheat prices. Our SOTP implies 6x FY27E earnings.

INDF SOTP table

	% stake	Method	Valuation (IDRbn)
ICBP	81%	JPM target price	74,625
Bogasari	100%	7x EBIT	17,586
Agribusiness	60%	Current market price	5,177
Distribution	100%	7x EBIT	4,112
Cash			70,310
(Debt)			(73,426)
(ICBP net cash)/debt			1,476
Firm value			99,860
Hold co discount	25%		(24,965)
Fair value of INDF			74,895
per share			8,450

Source: J.P. Morgan estimates

Risks to Rating and Price Target

Downside risks to our OW rating and Dec-27 PT include: 1) weaker ICBP performance; 2) lower CPO prices; 3) unfavorable input cost movement for Indofood as a group, resulting in margin compression; and 4) lower-than-expected dividend payout arising due to unexpected uses of capital.

Indofood Sukses Makmur: Summary of Financials

Income Statement						Cash Flow Statement					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Revenue	115,787	123,493	128,453	134,934	140,881	Cash flow from operating activities	9,096	22,125	20,007	20,165	21,290
COGS	-	-	-	-	-	o/w Depreciation & amortization	3,079	3,480	4,127	4,316	4,513
Gross profit	-	-	-	-	-	o/w Changes in working capital	(7,061)	3,089	2,701	(763)	(700)
SG&A	(89,878)	(96,657)	(102,877)	(107,170)	(111,816)	Cash flow from investing activities	(1,541)	(9,123)	(5,610)	(4,856)	(4,531)
Adj. EBITDA	25,909	26,836	25,576	27,764	29,066	o/w Capital expenditure	(3,598)	(5,460)	(5,642)	(4,856)	(5,064)
D&A	(3,079)	(3,480)	(4,127)	(4,316)	(4,513)	as % of sales	3.1%	4.4%	4.4%	3.6%	3.6%
Adj. EBIT	22,830	23,356	21,449	23,448	24,552	Cash flow from financing activities	2,579	(4,242)	(1,825)	(5,043)	(6,167)
Net Interest	(4,687)	(4,559)	(1,919)	(2,087)	(2,087)	o/w Dividends paid	(2,344)	(2,459)	(2,546)	(2,877)	(3,664)
Adj. PBT	18,401	20,010	16,936	21,338	22,447	o/w Shares issued/(repurchased)	(452)	(34)	0	0	0
Tax	(3,962)	(4,481)	(3,717)	(4,685)	(4,929)	o/w Net debt issued/(repaid)	7,754	360	2,879	0	0
Minority Interest	(4,436)	(4,872)	(3,588)	(4,398)	(4,658)	Net change in cash	10,134	8,761	12,573	10,266	10,592
Adj. Net Income	8,642	10,685	9,591	12,214	12,819	Adj. Free cash flow to firm	9,175	20,203	15,863	16,938	17,855
Reported EPS	984.19	1,216.87	1,092.32	1,391.02	1,459.97	y/y Growth	7.3%	120.2%	(21.5%)	6.8%	5.4%
Adj. EPS	984.19	1,216.87	1,092.32	1,391.02	1,459.97						
DPS	267.00	280.00	290.00	327.70	417.31						
Payout ratio	27.1%	23.0%	26.5%	23.6%	28.6%						
Shares outstanding	8,780	8,780	8,780	8,780	8,780						
Balance Sheet						Ratio Analysis					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	38,710	47,471	60,044	70,310	80,902	Gross margin	-	-	-	-	-
Accounts receivable	9,284	10,591	8,798	9,242	9,649	EBITDA margin	22.4%	21.7%	19.9%	20.6%	20.6%
Inventories	17,954	18,692	17,596	18,484	19,299	EBIT margin	19.7%	18.9%	16.7%	17.4%	17.4%
Other current assets	13,818	13,637	13,637	13,637	13,637	Net profit margin	7.5%	8.7%	7.5%	9.1%	9.1%
Current assets	79,765	90,391	100,075	111,674	123,488	ROE	13.9%	15.5%	12.5%	14.4%	13.6%
PP&E	47,814	49,794	51,309	51,849	52,400	ROA	4.5%	5.1%	4.3%	5.2%	5.2%
LT investments	-	-	-	-	-	ROCE	13.9%	13.0%	11.3%	11.6%	11.4%
Other non current assets	74,134	77,797	77,764	77,764	77,231	SG&A/Sales	77.6%	78.3%	80.1%	79.4%	79.4%
Total assets	201,713	217,982	229,149	241,287	253,119	Net debt/Equity	0.3	0.2	0.1	0.0	NM
Short term borrowings	20,951	21,303	21,303	21,303	21,303	Net debt/EBITDA	1.2	0.9	0.5	0.1	NM
Payables	5,802	6,399	5,983	6,285	6,562	Sales/Assets (x)	0.6	0.6	0.6	0.6	0.6
Other short term liabilities	10,341	14,697	14,926	15,193	15,438	Assets/Equity (x)	3.1	3.0	2.9	2.8	2.6
Current liabilities	37,094	42,400	42,212	42,781	43,302	Interest cover (x)	5.5	5.9	13.3	13.3	13.9
Long-term debt	49,235	49,244	52,123	52,123	52,123	Operating leverage	438.1%	34.6%	(203.3%)	184.7%	106.8%
Other long term liabilities	6,392	6,103	6,360	6,630	6,913	Tax rate	21.5%	22.4%	21.9%	22.0%	22.0%
Total liabilities	92,722	97,747	100,695	101,533	102,338	Revenue y/y Growth	3.7%	6.7%	4.0%	5.0%	4.4%
Shareholders' equity	65,114	73,147	80,192	89,529	98,684	EBITDA y/y Growth	15.1%	3.6%	(4.7%)	8.6%	4.7%
Minority interests	43,878	47,088	48,262	50,225	52,097	EPS y/y Growth	6.1%	23.6%	(10.2%)	27.3%	5.0%
Total liabilities & equity	201,713	217,982	229,149	241,287	253,119						
BVPS	7,415.76	8,330.73	9,133.05	10,196.38	11,239.04	Valuation					
y/y Growth	10.0%	12.3%	9.6%	11.6%	10.2%		FY24A	FY25A	FY26E	FY27E	FY28E
Net debt/(cash)	31,477	23,076	13,382	3,116	(7,476)	P/E (x)	7.0	5.7	6.3	5.0	4.7
						P/BV (x)	0.9	0.8	0.8	0.7	0.6
						EV/EBITDA (x)	5.3	4.9	4.8	4.1	3.6
						Dividend Yield	3.9%	4.0%	4.2%	4.7%	6.0%

Source: Company reports and J.P. Morgan estimates.

Note: Rp in billions (except per-share data). Fiscal year ends Dec. o/w - out of which

Overweight

MAPA.JK, MAPA IJ
Price (03 Jul 26):Rp615

▼ **Price Target (Dec-27):Rp845**
Prior (Jun-26):Rp1,025

ASEAN Metals, Indo Auto & Consumer Research

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Key Changes (FYE Dec)

	Prev	Cur	Δ
Same Store Sales Growth (%) - 26E	6.0%	4.0%	-2.0pp

Style Exposure

Quant Factors	Current	Hist %Rank (1=Top)			
	%Rank	6M	1Y	3Y	5Y
Value	51	56	37	24	48
Growth	3	8	8	1	72
Momentum	45	87	56	1	51
Quality	3	11	11	3	51
Low Vol	82	87	82	90	85

MAP Aktif Adiperkasa

Demand for sports remains healthy amidst weak macro environment

We remain **Overweight** on MAPA, our preferred expression of the K-shaped consumer thesis and top discretionary pick. We cut our **PT** by **-18% to IDR 845 (+37% potential upside)**, applying a lower 11x target P/E (from 16.5x) to reflect the sector-wide de-rating, though our conviction on the structural story is unchanged. With food a significant share of household budgets, the second-round inflation effects are likely to weigh disproportionately on lower- and middle-income consumers - reinforcing our preference for MAPA's higher-end exposure over mass-market staples.

The higher-end Indonesian consumer has shown resilience despite the broader macro softness, as evidenced by MAPA's domestic revenue growth of +17% y/y and a strong 6.7% SSSG in 1Q26. We expect double-digit top-line growth to persist (FY25-28E revenue CAGR of +14%), supported by improved inventory management. However, we remain conservative on our outlook against the global macroeconomic backdrop, to reflect 1) a more conservative SSSG of 4% (from 6%); and 2) we expect cost pressures to persist, with salary growth tracking Indonesia's minimum wage hike and other opex elevated by inflationary pressure, partly offset by a better margin outlook. We revise our NPATMI estimates by 7%/2% for FY26/27E, leaving us at -1%/+3.5%/+7.8% vs. the Street consensus.

Despite the overall softness, MAPA delivered a -15%/-8% price return over 1Y/YTD, outperforming the JCI by +24% YTD. Currently trading at 8.6x 1Y-forward earnings, its P/E multiple has de-rated ~20% vs FY25 avg - materially below its long-term average of 12x. Encouragingly, MAPA's de-rating has been far milder than the broader consumer sector (P/E down 23% y/y), consistent with its ability to pass on higher costs and maintain earnings resilience vs. peers. We see the current valuation as cheap (7.8x FY27E on our numbers, ~8.3x on the Street's), and believe concerns are largely priced in.

Figure 34: Changes to Key Financials

IDR bn

	FY26E			FY27E		
	Old	New	% change	Old	New	% change
Revenue	22,797	21,490	-5.7%	26,452	25,128	-5.0%
EBIT	2,673	2,712	1.4%	3,203	3,130	-2.3%
NPATMI	1,770	1,890	6.8%	2,151	2,189	1.7%

Source: J.P. Morgan estimates

Figure 35: JPME vs Bloomberg Consensus

IDR bn

	JPMe			Consensus		JPMe vs. Consensus		
	FY26E	FY27E	FY28E	FY26E	FY27E	FY28E	FY26E	FY27E
Revenue	21,490	25,128	28,704	21,582	23,929	26,304	-0.4%	5.0%
EBIT	2,712	3,130	3,588	2,767	3,031	3,322	-2.0%	3.3%
NPATMI	1,890	2,189	2,516	1,909	2,116	2,334	-1.0%	3.5%

Source: J.P. Morgan estimates, Bloomberg Finance L.P.

Price Performance



	YTD	1m	3m	12m
Abs	-8.2%	2.5%	-8.9%	-15.2%
Rel	23.8%	3.6%	7.5%	-0.6%

Company Data

Shares O/S (mn)	28,504
52-week range (Rp)	910-510
Market cap (\$ bn)	0.97
Exchange rate	17,995.32
Free float (%)	30.7%
3M ADV (mn)	25.03
3M ADV (\$ mn)	0.9
Volatility (90 Day)	52
Index	JCI
BBG ANR (Buy Hold Sell)	10 0 0

Key Metrics (FYE Dec)

Rp in billions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Revenue	19,280	21,490	25,128	28,704
Adj. EBITDA	3,962	4,245	4,870	5,548
Adj. EBIT	2,535	2,712	3,130	3,588
Adj. net income	1,721	1,890	2,189	2,516
Adj. EPS	60.37	66.31	76.79	88.28
BBG EPS	53.98	67.41	76.23	84.47
Cashflow from operations	2,771	3,014	2,826	4,232
FCFF	2,015	2,362	2,189	3,597
Margins and Growth				
Revenue Growth Y/Y (%)	12.2%	11.5%	16.9%	14.2%
Gross margin	47.1%	47.0%	47.0%	47.0%
EBITDA margin	20.6%	19.8%	19.4%	19.3%
EBIT margin	13.1%	12.6%	12.5%	12.5%
Adj. EPS growth	27.1%	9.8%	15.8%	15.0%
Ratios				
Adj. tax rate	25.1%	25.0%	25.0%	25.0%
Interest cover	25.2	32.3	32.1	32.0
Net debt/Equity	NM	NM	NM	NM
Net debt/EBITDA	NM	NM	NM	NM
ROCE	23.5%	21.2%	20.4%	19.7%
ROE	22.0%	19.7%	19.0%	18.4%
Valuation				
FCFF yield	11.5%	13.5%	12.5%	20.5%
Dividend yield	0.7%	1.0%	1.1%	1.2%
EV/Revenue	0.9	0.8	0.7	0.5
EV/EBITDA	4.5	4.1	3.5	2.8
Adj. P/E	10.2	9.3	8.0	7.0

Summary Investment Thesis and Valuation

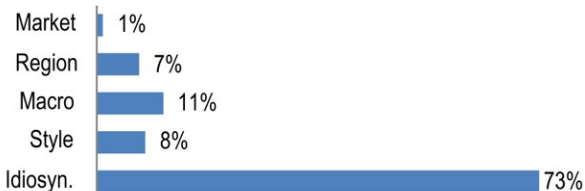
Investment Thesis

We remain Overweight on MAPA and continue to view it as our preferred expression of the K-shaped consumer theme. Despite a softer macro backdrop, MAPA's premium customer base has remained resilient, delivering +17% y/y domestic revenue growth and 6.7% SSSG in 1Q26. We expect double-digit revenue growth to continue (FY25-28E CAGR of ~14%), supported by strong brand positioning, improving inventory management, and continued demand from higher-income consumers. MAPA remains one of the fastest growing businesses in a 3-year stack within our coverage, where we expect FY25-28E NPATMI CAGR of 14%.

Valuation

We lower our Dec-27 PT to IDR845 (from IDR1,025), applying a lower 11x target P/E (from 16.5x) to reflect sector-wide de-rating. However, our positive stance remains unchanged. MAPA currently trades at 8.6x 1Y-forward consensus earnings, 20% below its FY25 average and well below its long-term average of 12x. We believe the current valuation is attractive, with macro concerns largely reflected in the share price.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.32	0.10
Region: Indonesia	0.33	0.27
Macro:		
Markit EM Composite PMI SA	-0.60	-0.32
JP Morgan GBI-EM Global Div	0.44	0.25
US 10 Year Yield	-0.37	-0.24
Quant Styles:		
Value	0.39	0.27
DivYld	0.32	0.27
Growth	-0.41	-0.25

Investment Thesis, Valuation and Risks

MAP Aktif Adiperkasa (*Overweight; Price Target: Rp845*)

Investment Thesis

We remain Overweight on MAPA and continue to view it as our preferred expression of the K-shaped consumer theme. Despite a softer macro backdrop, MAPA's premium customer base has remained resilient, delivering +17% y/y domestic revenue growth and 6.7% SSSG in 1Q26. We expect double-digit revenue growth to continue (FY25-28E CAGR of ~14%), supported by strong brand positioning, improving inventory management, and continued demand from higher-income consumers. MAPA remains one of the fastest growing businesses in a 3-year stack within our coverage, where we expect FY25-28E NPATMI CAGR of 14%.

Valuation

We lower our Dec-27 PT to IDR845 (from IDR1,025), applying a lower 11x target P/E (from 16.5x) to reflect sector-wide de-rating. However, our positive stance remains unchanged. MAPA currently trades at 8.6x 1Y-forward consensus earnings, 20% below its FY25 average and well below its long-term average of 12x. We believe the current valuation is attractive, with macro concerns largely reflected in the share price.

Risks to Rating and Price Target

Key downside risks to our PT and rating include: 1) a strong USD relative to IDR, as MAPA imports most of its merchandise, 2) unfavourable regulatory risk, especially in markets outside of Indonesia, and 3) a slowdown in demand leading to inventory buildups and margin erosion.

MAP Aktif Adiperkasa: Summary of Financials

Income Statement						Cash Flow Statement					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Revenue	17,184	19,280	21,490	25,128	28,704	Cash flow from operating activities	2,338	2,771	3,014	2,826	4,232
COGS	(9,262)	(10,191)	(11,390)	(13,318)	(15,213)	o/w Depreciation & amortization	1,168	1,427	1,533	1,740	1,959
Gross profit	7,922	9,089	10,100	11,810	13,491	o/w Changes in working capital	(282)	(511)	(299)	(1,140)	(280)
SG&A	(2,831)	(3,097)	(3,599)	(4,176)	(4,786)	Cash flow from investing activities	(2,170)	(1,969)	(1,933)	(2,132)	(2,313)
Adj. EBITDA	3,323	3,962	4,245	4,870	5,548	o/w Capital expenditure	(1,189)	(874)	(750)	(750)	(765)
D&A	(1,168)	(1,427)	(1,533)	(1,740)	(1,959)	as % of sales	6.9%	4.5%	3.5%	3.0%	2.7%
Adj. EBIT	2,155	2,535	2,712	3,130	3,588	Cash flow from financing activities	(227)	(385)	(73)	(148)	(176)
Net Interest	(183)	(157)	(131)	(152)	(173)	o/w Dividends paid	(143)	(114)	(172)	(189)	(219)
Adj. PBT	1,858	2,274	2,520	2,919	3,355	o/w Shares issued/(repurchased)	50	148	63	0	0
Tax	(519)	(572)	(630)	(730)	(839)	o/w Net debt issued/(repaid)	(239)	(492)	0	0	0
Minority Interest	16	19	0	0	0	Net change in cash	(59)	417	1,008	545	1,742
Adj. Net Income	1,354	1,721	1,890	2,189	2,516	Adj. Free cash flow to firm	1,280	2,015	2,362	2,189	3,597
Reported EPS	47.50	60.37	66.31	76.79	88.28	y/y Growth	(43087.3%)	57.4%	17.2%	(7.3%)	64.3%
Adj. EPS	47.50	60.37	66.31	76.79	88.28						
DPS	5.00	4.00	6.04	6.63	7.68						
Payout ratio	10.5%	6.6%	9.1%	8.6%	8.7%						
Shares outstanding	28,504	28,504	28,504	28,504	28,504						
Balance Sheet						Ratio Analysis					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	1,041	1,458	2,465	3,011	4,753	Gross margin	46.1%	47.1%	47.0%	47.0%	47.0%
Accounts receivable	510	612	805	1,033	1,180	EBITDA margin	19.3%	20.6%	19.8%	19.4%	19.3%
Inventories	5,189	5,654	6,072	7,024	7,711	EBIT margin	12.5%	13.1%	12.6%	12.5%	12.5%
Other current assets	355	408	580	679	775	Net profit margin	7.9%	8.9%	8.8%	8.7%	8.8%
Current assets	7,095	8,132	9,923	11,746	14,418	ROE	21.4%	22.0%	19.7%	19.0%	18.4%
PP&E	5,034	5,278	5,893	6,477	7,046	ROA	11.5%	12.7%	12.3%	12.2%	12.1%
LT investments	552	606	670	777	881	ROCE	22.4%	23.5%	21.2%	20.4%	19.7%
Other non current assets	158	164	164	164	164	SG&A/Sales	16.5%	16.1%	16.7%	16.6%	16.7%
Total assets	12,839	14,179	16,650	19,163	22,509	Net debt/Equity	NM	NM	NM	NM	NM
						Net debt/EBITDA	NM	NM	NM	NM	NM
Short term borrowings	492	0	0	0	0	Sales/Assets (x)	1.5	1.4	1.4	1.4	1.4
Payables	1,991	2,047	2,359	2,399	2,953	Assets/Equity (x)	1.9	1.7	1.6	1.6	1.5
Other short term liabilities	1,610	1,720	1,901	2,162	2,430	Interest cover (x)	18.2	25.2	32.3	32.1	32.0
Current liabilities	4,094	3,767	4,260	4,561	5,383	Operating leverage	22.4%	144.7%	60.7%	91.2%	102.8%
Long-term debt	0	0	0	0	0	Tax rate	28.0%	25.1%	25.0%	25.0%	25.0%
Other long term liabilities	1,625	1,569	1,766	1,978	2,204	Revenue y/y Growth	26.7%	12.2%	11.5%	16.9%	14.2%
Total liabilities	5,719	5,336	6,026	6,539	7,587	EBITDA y/y Growth	13.7%	19.2%	7.1%	14.7%	13.9%
Shareholders' equity	6,961	8,715	10,496	12,496	14,793	EPS y/y Growth	(2.5%)	27.1%	9.8%	15.8%	15.0%
Minority interests	159	128	128	128	128						
Total liabilities & equity	12,839	14,179	16,650	19,163	22,509						
BVPS	249.78	310.25	372.74	442.90	523.50						
y/y Growth	21.1%	24.2%	20.1%	18.8%	18.2%						
Net debt/(cash)	(548)	(1,458)	(2,465)	(3,011)	(4,753)						
						Valuation					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
						P/E (x)	12.9	10.2	9.3	8.0	7.0
						P/BV (x)	2.5	2.0	1.6	1.4	1.2
						EV/EBITDA (x)	5.7	4.5	4.1	3.5	2.8
						Dividend Yield	0.8%	0.7%	1.0%	1.1%	1.2%

Source: Company reports and J.P. Morgan estimates.

Note: Rp in billions (except per-share data). Fiscal year ends Dec. o/w - out of which

▼ Neutral

Previous: Overweight

MAPI.JK, MAPI.IJ

Price (03 Jul 26):Rp1,515

▼ Price Target (Dec-27):Rp1,270

Prior (Jun-26):Rp1,690

ASEAN Metals, Indo Auto & Consumer Research

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PT J.P. Morgan Sekuritas Indonesia

Style Exposure

Quant Factors	Current %Rank	Hist %Rank (1=Top)			
		6M	1Y	3Y	5Y
Value	22	19	30	16	51
Growth	40	14	11	8	82
Momentum	53	85	43	6	69
Quality	32	22	22	56	58
Low Vol	61	72	77	87	66

Mitra Adiperkasa

Taking profit from this trade and downgrading to Neutral

We downgrade MAPI to **Neutral** (from Overweight) and **cut our PT by 25% to IDR1,270**, implying 16% downside. This is largely a tactical call. The long-term high-end retail thesis remains intact, and 1Q26 was a strong start to the year - NPATMI rose 33% y/y (-27% q/q) driven by robust specialty store sales (+37% y/y), a still-profitable overseas business, and tight cost control (opex/sales down >400bps y/y). But the stock has outperformed the JCI by 62% YTD already factoring in the strong 1Q print and MTO announcement, leaving risk/reward less compelling.

MTO caps upside in the near term. Pacific Universal Investments' MTO at IDR 1,550/share - a 20% premium to the pre-announcement price - effectively anchors the stock and limits near-term upside until the offer concludes. We view the premium as broadly in line given the sector-wide de-rating (-23% vs 2025 avg).

What we're changing. We revise our forecasts, raising FY26/27E NPATMI by +6/4% bringing us 6.4/4.5/4.6% below the street on FY26/27/28E. We expect revenue growth to slow to 10.1% in FY26E (from 14% in FY25A) as weaker IDR and rising inflation soften H2 demand. We cut our FY26E SSSG estimate to 4.1% (from 4.6%), recovering to 4.9%/4.5% in FY27/28E and implying a 13% revenue CAGR. We see operating margins compressing to ~8.8% (vs. +9% pre-FY25), in line with management's margin of ~9% for FY26E, implying a 10% earnings CAGR over FY25-28E.

Valuation & story ahead. We cut our PT by 25% to IDR1,270, based on 8x FY27E P/E. The 38% reduction in our target multiple (from 13x earlier) reflects: 1) the broader sector de-rating; 2) MAPI's high-growth phase is now largely behind it, with FY25 NPAT up +25% y/y but growth set to moderate; and 3) the stock's recent outperformance, which leaves less room for further re-rating. Nonetheless, the structural story holds - MAPI remains a best-in-class high-end retail operator with a resilient core consumer and a long store-expansion runway. At current levels, though, we see balanced risk/reward and prefer MAPA as the cleaner expression of our K-shaped discretionary thesis. We would turn more constructive on: 1) a meaningful IDR recovery; 2) re-accelerating SSSG as consumer demand normalizes; and 3) accelerated store expansion backed by additional exclusive brand rights.

Figure 36: Changes to Key Financials

IDR bn

	FY26E			FY27E		
	Old	New	% change	Old	New	% change
Revenue	45,597	47,433	4.0%	51,187	54,516	6.5%
EBITDA	7,655	7,662	0.1%	8,725	8,662	-0.7%
Operating Profit	4,032	4,172	3.5%	4,724	4,746	0.5%
NPATMI	2,154	2,291	6.4%	2,543	2,641	3.8%

Source: J.P. Morgan estimates

Figure 37: JPME vs Bloomberg Consensus

IDR bn

	JPMe			Consensus			JPMe vs. Consensus		
	FY26E	FY27E	FY28E	FY26E	FY27E	FY28E	FY26E	FY27E	FY28E
Revenue	47,433	54,516	61,782	46,980	51,148	56,179	1.0%	6.6%	10.0%
EBITDA	7,662	8,662	9,780	6,544	6,919	7,848	17.1%	25.2%	24.6%
EBIT	4,172	4,746	5,419	4,352	4,845	5,450	-4.1%	-2.0%	-0.6%
NPATMI	2,291	2,641	3,003	2,449	2,765	3,149	-6.4%	-4.5%	-4.6%

Source: J.P. Morgan estimates, Bloomberg Finance L.P.

Price Performance



	YTD	1m	3m	12m
Abs	30.0%	1.3%	16.1%	22.7%
Rel	62.0%	2.4%	32.5%	37.2%

Company Data

Shares O/S (mn)	16,600
52-week range (Rp)	1,525-1,000
Market cap (\$ bn)	1.40
Exchange rate	17,995.32
Free float (%)	48.6%
3M ADV (mn)	51.10
3M ADV (\$ mn)	4.1
Volatility (90 Day)	54
Index	JCI
BBG ANR (Buy Hold Sell)	23 3 0

Key Metrics (FYE Dec)

Rp in billions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Revenue	43,083	47,433	54,516	61,782
Adj. EBITDA	7,327	7,662	8,662	9,780
Adj. EBIT	3,990	4,172	4,746	5,419
Adj. net income	2,231	2,291	2,641	3,003
Adj. EPS	134.41	138.01	159.08	180.89
BBG EPS	117.64	147.35	166.40	189.45
Cashflow from operations	4,927	6,253	6,421	7,155
FCFF	3,565	4,116	4,285	5,049
Margins and Growth				
Revenue Growth Y/Y (%)	13.9%	10.1%	14.9%	13.3%
Gross margin	41.7%	41.0%	40.9%	40.8%
EBITDA margin	17.0%	16.2%	15.9%	15.8%
EBIT margin	9.3%	8.8%	8.7%	8.8%
Adj. EPS growth	26.2%	2.7%	15.3%	13.7%
Ratios				
Adj. tax rate	23.2%	23.5%	23.5%	24.0%
Interest cover	15.5	16.2	18.2	18.9
Net debt/Equity	NM	NM	NM	NM
Net debt/EBITDA	NM	NM	NM	NM
ROCE	18.8%	17.9%	18.8%	18.8%
ROE	17.4%	15.3%	15.5%	15.4%
Valuation				
FCFF yield	14.2%	16.4%	17.0%	20.1%
Dividend yield	0.8%	1.3%	1.4%	1.6%
EV/Revenue	0.6	0.5	0.5	0.4
EV/EBITDA	3.6	3.4	2.9	2.5
Adj. P/E	11.3	11.0	9.5	8.4

Summary Investment Thesis and Valuation

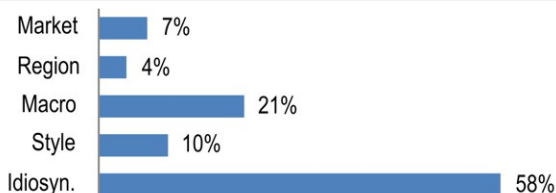
Investment Thesis

We downgrade MAPI to Neutral as we see a more balanced risk/reward despite the long-term high-end retail thesis remaining intact. The stock has outperformed the JCI by ~37% over the past year, leaving upside less compelling at current levels. We expect growth to moderate in FY26E amid weaker consumer demand, with revenue growth slowing to 10% and SSSG easing to 4.1%. We continue to view MAPI as a best-in-class retail operator but prefer MAPA as our preferred discretionary exposure.

Valuation

We cut our Dec-27 PT to IDR1,270 (-25%), based on a lower target P/E of 8x FY27E, a 38% reduction from our previous 13x multiple. The lower multiple reflects moderating growth, softer consumer demand and a less compelling risk/reward following the stock's strong outperformance.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.41	0.27
Region: Indonesia	0.11	0.21
Macro:		
Markit EM Composite PMI SA	-0.70	-0.47
Emerging Economies CPI(YoY)	0.58	0.27
JP Morgan GBI-EM Global Div	0.26	0.18
Quant Styles:		
Quality	-0.20	-0.29
Momentum	-0.19	-0.24
Growth	-0.17	-0.24

Mitra Adiperkasa (Neutral; Price Target: Rp1,270)

Investment Thesis

We downgrade MAPI to Neutral as we see a more balanced risk/reward despite the long-term high-end retail thesis remaining intact. The stock has outperformed the JCI by ~37% over the past year, leaving upside less compelling at current levels. We expect growth to moderate in FY26E amid weaker consumer demand, with revenue growth slowing to 10% and SSSG easing to 4.1%. We continue to view MAPI as a best-in-class retail operator but prefer MAPA as our preferred discretionary exposure.

Valuation

We cut our Dec-27 PT to IDR1,270 (-25%), based on a lower target P/E of 8x FY27E, a 38% reduction from our previous 13x multiple. The lower multiple reflects moderating growth, softer consumer demand and a less compelling risk/reward following the stock's strong outperformance.

Risks to Rating and Price Target

Downside risks to our rating and price target include: 1) a steep depreciation in USD/IDR, as MAPI imports the bulk of its merchandise; 2) the termination of key brand agreements; 3) an increase in royalties from brands; and 4) key changes in senior management. We would turn more constructive on: 1) a meaningful IDR recovery; 2) re-accelerating SSSG as consumer demand normalises; 3) accelerated store expansion backed by additional exclusive brand rights; and 4) a richer premium brand mix supporting gross margin expansion.

Mitra Adiperkasa: Summary of Financials

Income Statement						Cash Flow Statement					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Revenue	37,836	43,083	47,433	54,516	61,782	Cash flow from operating activities	5,017	4,927	6,253	6,421	7,155
COGS	(21,695)	(25,129)	(27,966)	(32,205)	(36,576)	o/w Depreciation & amortization	2,997	3,337	3,490	3,916	4,361
Gross profit	16,140	17,954	19,467	22,312	25,206	o/w Changes in working capital	284	(924)	(532)	(981)	(1,199)
SG&A	(9,693)	(10,628)	(11,805)	(13,649)	(15,426)	Cash flow from investing activities	(4,151)	(4,057)	(5,489)	(5,664)	(5,955)
Adj. EBITDA	6,447	7,327	7,662	8,662	9,780	o/w Capital expenditure	(1,931)	(1,727)	(2,500)	(2,500)	(2,500)
D&A	(2,997)	(3,337)	(3,490)	(3,916)	(4,361)	as % of sales	5.1%	4.0%	5.3%	4.6%	4.0%
Adj. EBIT	3,450	3,990	4,172	4,746	5,419	Cash flow from financing activities	(500)	100	(1,287)	337	343
Net Interest	(516)	(474)	(474)	(475)	(518)	o/w Dividends paid	(177)	(202)	(335)	(344)	(396)
Adj. PBT	2,834	3,540	3,698	4,271	4,901	o/w Shares issued/(repurchased)	-	-	-	-	-
Tax	(686)	(820)	(869)	(1,004)	(1,176)	o/w Net debt issued/(repaid)	(553)	121	(1,408)	0	0
Minority Interest	(380)	(488)	(538)	(627)	(722)	Net change in cash	366	970	(523)	1,095	1,542
Adj. Net Income	1,768	2,231	2,291	2,641	3,003	Adj. Free cash flow to firm	3,476	3,565	4,116	4,285	5,049
Reported EPS	106.48	134.41	138.01	159.08	180.89	y/y Growth	(795.4%)	2.5%	15.5%	4.1%	17.8%
Adj. EPS	106.48	134.41	138.01	159.08	180.89						
DPS	10.64	12.14	20.16	20.70	23.86						
Payout ratio	10.0%	9.0%	14.6%	13.0%	13.2%						
Shares outstanding	16,600	16,600	16,600	16,600	16,600						
Balance Sheet						Ratio Analysis					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	4,040	5,042	4,520	5,615	7,157	Gross margin	42.7%	41.7%	41.0%	40.9%	40.8%
Accounts receivable	815	774	1,240	1,397	1,593	EBITDA margin	17.0%	17.0%	16.2%	15.9%	15.8%
Inventories	8,290	9,342	9,819	11,127	12,720	EBIT margin	9.1%	9.3%	8.8%	8.7%	8.8%
Other current assets	2,700	3,267	3,605	3,938	4,280	Net profit margin	4.7%	5.2%	4.8%	4.8%	4.9%
Current assets	15,846	18,425	19,184	22,077	25,750	ROE	16.3%	17.4%	15.3%	15.5%	15.4%
PP&E	5,645	6,175	7,456	8,577	9,538	ROA	6.2%	7.2%	6.7%	7.0%	7.0%
LT investments	548	548	548	548	548	ROCE	18.1%	18.8%	17.9%	18.8%	18.8%
Other non current assets	7,485	7,676	8,394	9,022	9,655	SG&A/Sales	25.6%	24.7%	24.9%	25.0%	25.0%
Total assets	29,525	32,824	35,582	40,223	45,490	Net debt/Equity	NM	NM	NM	NM	NM
Short term borrowings	2,776	2,896	1,500	1,500	1,500	Net debt/EBITDA	NM	NM	NM	NM	NM
Payables	3,140	3,226	3,637	4,121	4,711	Sales/Assets (x)	1.3	1.4	1.4	1.4	1.4
Other short term liabilities	5,060	5,327	6,335	7,104	7,946	Assets/Equity (x)	2.6	2.4	2.3	2.2	2.2
Current liabilities	10,976	11,449	11,471	12,725	14,157	Interest cover (x)	12.5	15.5	16.2	18.2	18.9
Long-term debt	10	11	0	0	0	Operating leverage	(29.9%)	112.7%	45.3%	92.2%	106.4%
Other long term liabilities	4,088	4,153	4,569	5,032	5,539	Tax rate	24.2%	23.2%	23.5%	23.5%	24.0%
Total liabilities	15,074	15,613	16,040	17,757	19,696	Revenue y/y Growth	13.6%	13.9%	10.1%	14.9%	13.3%
Shareholders' equity	11,702	13,980	15,936	18,233	20,840	EBITDA y/y Growth	3.8%	13.6%	4.6%	13.1%	12.9%
Minority interests	2,749	3,232	3,606	4,233	4,955	EPS y/y Growth	(6.7%)	26.2%	2.7%	15.3%	13.7%
Total liabilities & equity	29,525	32,824	35,582	40,223	45,490						
BVPS	704.93	842.14	959.99	1,098.37	1,255.40	Valuation					
y/y Growth	17.0%	19.5%	14.0%	14.4%	14.3%		FY24A	FY25A	FY26E	FY27E	FY28E
Net debt/(cash)	(680)	(1,502)	(2,313)	(3,310)	(4,736)	P/E (x)	14.2	11.3	11.0	9.5	8.4
						P/BV (x)	2.1	1.8	1.6	1.4	1.2
						EV/EBITDA (x)	4.1	3.6	3.4	2.9	2.5
						Dividend Yield	0.7%	0.8%	1.3%	1.4%	1.6%

Source: Company reports and J.P. Morgan estimates.

Note: Rp in billions (except per-share data). Fiscal year ends Dec. o/w - out of which

▼ Neutral

Previous: Overweight

AMRT.JK, AMRT IJ

Price (03 Jul 26):Rp1,395

▼ **Price Target (Dec-27):Rp1,530**

Prior (Jun-26):Rp2,820

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Key Changes (FYE Dec)

	Prev	Cur	Δ
Revenue - 26E (Rp bn)	146,004	136,226	-6.7%
Revenue - 27E (Rp bn)	160,555	146,693	-8.6%

Style Exposure

Quant Factors	Current %Rank	Hist %Rank (1=Top)			
		6M	1Y	3Y	5Y
Value	69	72	69	58	30
Growth	45	40	40	30	58
Momentum	93	69	69	14	45
Quality	35	40	51	27	32
Low Vol	51	51	51	74	19
ESGQ	95	99	92	-	-

Alfamart

Structural pressures tip the balance - stepping to the sidelines

AMRT has underperformed the broader index by -27% in the past 1-year, weighed down by intensifying competition, persistent downtrading away from modern trade, and potential regulatory overhangs. While we previously viewed AMRT's underperformance as cyclical, our framework has moved against us on three fronts: 1) competitive intensity has not eased as expected and is now structurally compressing MT economics, 2) regulatory headwinds have escalated from a tail risk to a base-case overhang, and 3) ultimately operating leverage-led profit growth is not as great as our initial expectations. We **downgrade AMRT to Neutral, cutting our PT by 46% to IDR1,530**, implying ~10% upside and a ~44% de-rating in the implied target multiple.

- **What went wrong?** AMRT's bull-case investment thesis is premised on its ability to generate double digit topline growth, growing share of the total consumption pie translating to better GPMs. This should in turn result in operating leverage as costs are mostly fixed, with 60% of opex being salaries. Almost all of these factors have moved against our initial bull-case expectations. Store expansion is now slowing down, and SSSG is unlikely to be able to offset the decline in new store contribution. Tougher competition within MT means that selective price hikes and GPM expansions are tougher to come by. At the same time, we believe the regulatory risks of a potentially higher minimum wage hike regime is not fully discounted into AMRT's share price and earnings estimates.
- **Expectations from here.** We cut FY26E/FY27E NPATMI by 14.5%/14.9% to IDR 3.7/4.2bn, reflecting: 1) slower SSSG (3%/4% FY26/27E) on persistent downtrading and competitive pressure; 2) decline in pace of new store additions (900 p.a. vs. last 6Y avg of ~1,300) as we expect management to dial back on the rollout pace; 3) we expect GPM to stay muted (-30bps y/y in FY26E) as ASP hikes (2-8% on high-plastic-packaging SKUs) are only partially passed through, with management opting to protect margins over chasing topline amid heightened competition. On a positive note, healthy FCF is supporting a more generous capital return profile - with the DC capex cycle moderating to healthy FCF of ~IDR3.7tn in FY26E and ~IDR 4.0tn in FY27E (vs. IDR ~0.6tn in FY25), enabling the implied dividend payout to be sustained at 50% from FY26E onwards.
- **P/E multiples reset.** We value AMRT at **15x FY27E earnings**, reflecting a lower long-term growth outlook and higher regulatory risk. The multiple is ~44% below our prior 27x on slower store expansion, weaker operating leverage, rising wage hike risk (salaries ~60% of opex), and intensifying MT competition that limits pricing power and caps re-rating. We would revisit the rating on: 1) clear evidence of competitive intensity easing and AMRT regaining SSSG momentum; 2) faster-than-expected online channel and high-margin SKUs rampup driving GPM inflection.

Figure 38: Changes to key assumptions

IDR bn

	FY26E			FY27E		
	Old	New	change	Old	New	% change
New store addition	1200	900	(300.00)	1200	900	(300.00)
SSSG	5%	3%	(200.00)	5%	4%	(100.00)
Ownstore GPM	25.64%	25.35%	(29.33)	25.79%	25.45%	(34.33)
Opex as % of sales	18.97%	19.14%	16.92	18.94%	19.03%	8.85

Source: J.P. Morgan estimates

Figure 39: Changes to key financials

IDR bn

	FY26E			FY27E		
	Old	New	% change	Old	New	% change
Revenue	146,004	136,226	-6.7%	160,555	146,693	-8.6%
EBITDA	9,925	9,741	-1.9%	11,106	10,822	-2.6%
EBIT	5,606	4,944	-11.8%	6,353	5,562	-12.4%
NPATMI	4,337	3,707	-14.5%	4,922	4,189	-14.9%

Source: J.P. Morgan estimates

Figure 40: JPME vs Bloomberg Consensus

IDR bn

	JPMe			Consensus			JPMe vs. Consensus		
	FY26E	FY27E	FY28E	FY26E	FY27E	FY28E	FY26E	FY27E	FY28E
Revenue	136,226	146,693	157,887	136,987	148,003	160,165	-0.6%	-0.9%	-1.4%
EBITDA	9,741	10,822	11,755	8,572	8,998	9,601	13.6%	20.3%	22.4%
EBIT	4,944	5,562	6,130	4,529	5,160	5,464	9.2%	7.8%	12.2%
NPATMI	3,707	4,189	4,638	3,831	4,300	4,844	-3.2%	-2.6%	-4.3%

Source: J.P. Morgan estimates, Bloomberg Finance L.P.

Price Performance



	YTD	1m	3m	12m
Abs	-29.4%	3.3%	-3.1%	-41.4%
Rel	2.6%	4.4%	13.3%	-26.8%

Company Data

Shares O/S (mn)	41,525
52-week range (Rp)	2,490-1,105
Market cap (\$ bn)	3.22
Exchange rate	17,995.32
Free float (%)	39.8%
3M ADV (mn)	101.92
3M ADV (\$ mn)	7.4
Volatility (90 Day)	65
Index	JCI
BBG ANR (Buy Hold Sell)	25 2 0

Key Metrics (FYE Dec)

Rp in billions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Revenue	126,737	136,226	146,693	157,887
Adj. EBITDA	9,308	9,741	10,822	11,755
Adj. EBIT	4,562	4,944	5,562	6,130
Adj. net income	3,411	3,707	4,189	4,638
Adj. EPS	82.14	90.22	101.93	112.86
BBG EPS	81.51	92.88	104.04	115.94
Cashflow from operations	7,553	9,397	9,924	10,795
FCFF	1,356	3,823	4,105	4,792
Margins and Growth				
Revenue Growth Y/Y (%)	7.2%	7.5%	7.7%	7.6%
Same Store Sales Growth (%)	-	-	-	-
Gross margin	-	-	-	-
EBITDA margin	7.3%	7.2%	7.4%	7.4%
EBITDA Growth Y/Y (%)	9.6%	4.6%	11.1%	8.6%
EBIT margin	3.6%	3.6%	3.8%	3.9%
Net margin	2.7%	2.7%	2.9%	2.9%
Adj. EPS growth	8.3%	9.8%	13.0%	10.7%
Ratios				
Net debt/EBITDA	NM	NM	NM	NM
ROIC	-	-	-	-
ROE	19.8%	19.5%	19.7%	19.6%
Valuation				
FCFF yield	2.3%	6.7%	7.2%	8.4%
Dividend yield	2.4%	3.0%	3.2%	3.7%
EV/Revenue	0.4	0.4	0.4	0.3
EV/EBITDA	6.0	5.5	4.8	4.2
Adj. P/E	17.0	15.5	13.7	12.4

Summary Investment Thesis and Valuation

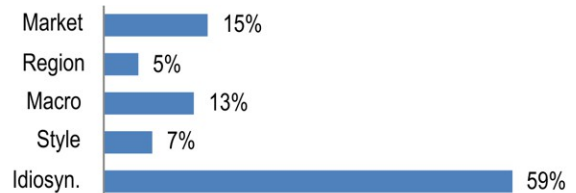
Investment Thesis

We downgrade AMRT to Neutral as the investment case has become less compelling. What we previously viewed as cyclical pressures now appear increasingly structural, and with persistent competitive intensity in modern trade creating a more challenging operating backdrop. At the same time, management's shift from expansion to optimization suggests a lower long-term growth trajectory, leading us to adopt a more cautious stance on the stock. We are currently penciling in a 11% FY25-28E NPATMI CAGR for AMRT.

Valuation

We cut our PT by 46% to IDR1,530 and value AMRT on a P/E basis at 15x FY27E earnings (vs. 27x previously). The reset reflects AMRT's transition from a high-growth rollout story to a more mature, optimization-led phase, with structurally lower long-term growth, elevated regulatory risk (notably wages), and persistent competitive pressure limiting pricing power and operating leverage.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.47	0.38
Region: Indonesia	0.53	0.27
Macro:		
HSI Volatility Index	0.05	0.26
Citi Economic Surprise - EM	-0.35	-0.24
JP Morgan GBI-EM Global Div	0.21	0.19
Quant Styles:		
Momentum	-0.51	-0.30
Growth	-0.24	-0.17
Size	-0.43	-0.17

Investment Thesis, Valuation and Risks

Alfamart (*Neutral; Price Target: Rp1,530*)

Investment Thesis

We downgrade AMRT to Neutral as the investment case has become less compelling. What we previously viewed as cyclical pressures now appear increasingly structural, and with persistent competitive intensity in modern trade creating a more challenging operating backdrop. At the same time, management's shift from expansion to optimization suggests a lower long-term growth trajectory, leading us to adopt a more cautious stance on the stock. We are currently penciling in a 11% FY25-28E NPATMI CAGR for AMRT.

Valuation

We cut our PT by 46% to IDR1,530 and value AMRT on a P/E basis at 15x FY27E earnings (vs. 27x previously). The reset reflects AMRT's transition from a high-growth rollout story to a more mature, optimization-led phase, with structurally lower long-term growth, elevated regulatory risk (notably wages), and persistent competitive pressure limiting pricing power and operating leverage.

Risks to Rating and Price Target

Downside risks include: 1) slower store rollout and continued consumer downtrading; 2) intensifying competition hampering SSSG and margin pressure; and 3) regulatory restrictions on MT. Upside risks include: 1) evidence of competitive intensity easing and improvement in SSSG trends; 2) stronger-than-expected consumer demand recovery driving traffic and basket growth; and 3) margin recovery supported by higher private-label mix and improved pricing discipline.

Alfamart: Summary of Financials

Income Statement						Cash Flow Statement					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Revenue	118,227	126,737	136,226	146,693	157,887	Cash flow from operating activities	7,872	7,553	9,397	9,924	10,795
COGS	(92,862)	(98,981)	(106,489)	(114,577)	(123,188)	o/w Depreciation & amortization	4,413	4,745	4,796	5,260	5,624
Gross profit	-	-	-	-	-	o/w Changes in working capital	95	(1,007)	818	390	438
SG&A	(17,971)	(19,656)	(21,280)	(22,659)	(24,390)	Cash flow from investing activities	(5,950)	(6,952)	(5,715)	(5,962)	(6,143)
Adj. EBITDA	8,492	9,308	9,741	10,822	11,755	o/w Capital expenditure	(5,916)	(6,188)	(5,715)	(5,962)	(6,143)
D&A	(4,413)	(4,745)	(4,796)	(5,260)	(5,624)	as % of sales	5.0%	4.9%	4.2%	4.1%	3.9%
Adj. EBIT	4,079	4,562	4,944	5,562	6,130	Cash flow from financing activities	(1,151)	(766)	(1,387)	(1,925)	(2,037)
Net Interest	(19)	11	(176)	(179)	(175)	o/w Dividends paid	(1,191)	(1,416)	(1,705)	(1,854)	(2,094)
Adj. PBT	4,066	4,439	4,729	5,343	5,915	o/w Shares issued/(repurchased)	0	(251)	0	0	0
Tax	(846)	(880)	(946)	(1,069)	(1,183)	o/w Net debt issued/(repaid)	(278)	818	501	(171)	(48)
Minority Interest	(72)	(148)	(76)	(85)	(95)	Net change in cash	771	(165)	2,296	2,037	2,615
Adj. Net Income	3,148	3,411	3,707	4,189	4,638	Adj. Free cash flow to firm	1,971	1,356	3,823	4,105	4,792
Reported EPS	75.81	82.14	90.22	101.93	112.86	y/y Growth	128.3%	(31.2%)	181.8%	7.4%	16.7%
Adj. EPS	75.81	82.14	90.22	101.93	112.86						
DPS	28.68	34.11	41.50	45.11	50.97						
Payout ratio	37.8%	41.5%	46.0%	44.3%	45.2%						
Shares outstanding	41,525	41,525	41,092	41,092	41,092						
Balance Sheet	FY24A	FY25A	FY26E	FY27E	FY28E	Ratio Analysis	FY24A	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	4,845	4,680	6,975	9,012	11,627	Gross margin	-	-	-	-	-
Accounts receivable	3,231	3,522	3,503	3,769	4,057	EBITDA margin	7.2%	7.3%	7.2%	7.4%	7.4%
Inventories	11,775	13,347	13,038	14,027	15,087	EBIT margin	3.4%	3.6%	3.6%	3.8%	3.9%
Other current assets	490	366	366	366	366	Net profit margin	2.7%	2.7%	2.7%	2.9%	2.9%
Current assets	20,341	21,915	23,882	27,174	31,137	ROE	20.4%	19.8%	19.5%	19.7%	19.6%
PP&E	16,793	18,236	19,155	19,858	20,377	ROA	8.6%	8.4%	8.4%	8.8%	9.0%
LT investments	780	1,480	1,480	1,480	1,480	ROCE	18.7%	18.8%	18.1%	18.5%	18.5%
Other non current assets	884	949	949	949	949	SG&A/Sales	15.2%	15.5%	15.6%	15.4%	15.4%
Total assets	38,798	42,579	45,465	49,459	53,942	Net debt/Equity	NM	NM	NM	NM	NM
Short term borrowings	977	1,074	1,864	1,866	1,922	Net debt/EBITDA	NM	NM	NM	NM	NM
Payables	16,347	17,204	17,693	19,339	21,125	Sales/Assets (x)	3.2	3.1	3.1	3.1	3.1
Other short term liabilities	2,144	2,276	2,276	2,276	2,276	Assets/Equity (x)	2.4	2.4	2.3	2.2	2.2
Current liabilities	19,469	20,553	21,832	23,480	25,323	Interest cover (x)	449.6	NM	55.5	60.3	67.2
Long-term debt	896	1,637	1,065	942	892	Operating leverage	(75.1%)	164.8%	111.8%	162.6%	133.9%
Other long term liabilities	738	1,006	1,053	1,102	1,153	Tax rate	20.8%	19.8%	20.0%	20.0%	20.0%
Total liabilities	21,102	23,196	23,950	25,525	27,369	Revenue y/y Growth	10.5%	7.2%	7.5%	7.7%	7.6%
Shareholders' equity	16,378	18,021	20,077	22,412	24,955	EBITDA y/y Growth	2.4%	9.6%	4.6%	11.1%	8.6%
Minority interests	1,318	1,362	1,437	1,523	1,617	EPS y/y Growth	(7.5%)	8.3%	9.8%	13.0%	10.7%
Total liabilities & equity	38,798	42,579	45,465	49,459	53,942	Valuation	FY24A	FY25A	FY26E	FY27E	FY28E
BVPS	426.16	466.78	523.57	582.47	646.67	P/E (x)	18.4	17.0	15.5	13.7	12.4
y/y Growth	12.7%	9.5%	12.2%	11.2%	11.0%	P/BV (x)	3.3	3.0	2.7	2.4	2.2
Net debt/(cash)	(2,972)	(1,969)	(4,047)	(6,204)	(8,812)	EV/EBITDA (x)	6.5	6.0	5.5	4.8	4.2
						Dividend Yield	2.1%	2.4%	3.0%	3.2%	3.7%

Source: Company reports and J.P. Morgan estimates.

Note: Rp in billions (except per-share data). Fiscal year ends Dec. o/w - out of which

Underweight

UNVR.JK, UNVR IJ

Price (03 Jul 26):Rp1,800

▲ Price Target (Dec-27):Rp1,240

Prior (Jun-27):Rp1,060

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PT J.P. Morgan Sekuritas Indonesia

Key Changes (FYE Dec)

	Prev	Cur	Δ
Adj. EPS - 26E (Rp)	81.87	90.65	10.7%
Adj. EPS - 27E (Rp)	95.16	103.77	9.0%

Style Exposure

Quant Factors	Current	Hist %Rank (1=Top)			
	%Rank	6M	1Y	3Y	5Y
Value	87	87	82	82	98
Growth	85	82	87	56	27
Momentum	56	3	80	77	95
Quality	8	8	8	1	1
Low Vol	77	74	69	40	6

Unilever Indonesia Tbk

No strong case to like the business

We are maintaining our UW on UNVR. We are not convinced by the sustainability of cost cuts seen in 1Q26 results, and we expect more input cost pressures to materialize in 2Q-3Q. UNVR's 1Q26 topline growth was the weakest within our coverage universe, with the business delivering 3% topline growth vs ICBP's and AMRT's 8% topline growth. The distributor restocking activities in 1Q ahead of Eid festivities should result in sequentially lower volumes in 2Q, at a time when input cost pressures should be highest. On a longer-term view, market share remained flat vs FY25 and still sits ~200bps lower in value / ~70bps lower in volume than FY24, reinforcing our view that structural share loss has yet to bottom.

However, we have adjusted our earnings estimates higher by +10.7%/9% for FY26-27E, mostly reflecting lower opex. UNVR 1Q26 opex was down 2% y/y, supported mostly by a much lower advertising spend that was 6.2% of sales (down 29% y/y on an absolute basis). As a result, we rationalize our adspend by 100bps of sales, and this mostly explains our higher earnings. On valuation, we keep multiples constant at 12x but we roll over our PT base from Jun-27 to Dec-27. Our earnings remain significantly below consensus estimates but we believe some of the consensus estimates may have already baked in the IDR870bn one-off gain arising from the sale of discontinued operations (tea business). As a result - while we are certain that our estimates are below consensus, the quantum of difference might not be as stark as shown below.

Figure 41: Changes to Key Financials

IDR bn

	FY26E			FY27E			FY28E		
	Old	New	% change	Old	New	% change	Old	New	% change
Revenue	33,471	33,146	-1.0%	35,246	34,486	-2.2%	36,982	35,879	-3.0%
EBITDA	4,380	4,935	12.7%	5,087	5,612	10.3%	5,304	5,814	9.6%
EBIT	3,862	4,418	14.4%	4,535	5,061	11.6%	4,714	5,226	10.9%
NPATMI	3,110	3,443	10.7%	3,614	3,941	9.0%	3,754	4,070	8.4%

Source: J.P. Morgan estimates

Figure 42: JPME vs. Bloomberg Consensus

IDR bn

	JPMe			Consensus			JPMe vs. Consensus		
	FY26E	FY27E	FY28E	FY26E	FY27E	FY28E	FY26E	FY27E	FY28E
Revenue	33,146	34,486	35,879	33,536	34,810	36,093	-1.2%	-0.9%	-0.6%
EBITDA	4,935	5,612	5,814	5,736	6,425	6,416	-14.0%	-12.6%	-9.4%
EBIT	4,418	5,061	5,226	5,238	5,595	5,842	-15.7%	-9.6%	-10.5%
NPATMI	3,443	3,941	4,070	4,411	5,132	4,535	-21.9%	-23.2%	-10.3%

Source: J.P. Morgan estimates, Bloomberg Finance L.P.

Price Performance



	YTD	1m	3m	12m
Abs	-30.8%	12.5%	-6.7%	12.8%
Rel	1.2%	13.6%	9.6%	27.4%

Company Data

Shares O/S (mn)	38,150
52-week range (Rp)	2,840-1,455
Market cap (\$ bn)	3.82
Exchange rate	17,995.32
Free float (%)	15.0%
3M ADV (mn)	24.45
3M ADV (\$ mn)	2.3
Volatility (90 Day)	48
Index	JCI
BBG ANR (Buy Hold Sell)	16 10 3

Key Metrics (FYE Dec)

Rp in billions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Revenue	31,943	33,146	34,486	35,879
Adj. EBITDA	5,056	4,935	5,612	5,814
Adj. EBIT	4,592	4,418	5,061	5,226
Adj. net income	3,537	3,443	3,941	4,070
Adj. EPS	92.87	90.65	103.77	107.15
BBG EPS	131.82	114.76	135.24	119.74
Cashflow from operations	11,718	3,587	4,631	4,941
FCFF	13,503	2,739	3,750	4,024
Margins and Growth				
Revenue Growth Y/Y (%)	4.3%	3.8%	4.0%	4.0%
Same Store Sales Growth (%)	-	-	-	-
Gross margin	-	-	-	-
EBITDA margin	15.8%	14.9%	16.3%	16.2%
EBITDA Growth Y/Y (%)	12.0%	(2.4%)	13.7%	3.6%
EBIT margin	14.4%	13.3%	14.7%	14.6%
Net margin	11.1%	10.4%	11.4%	11.3%
Adj. EPS growth	22.0%	(2.4%)	14.5%	3.3%
Ratios				
Net debt/EBITDA	NM	NM	NM	NM
ROIC	-	-	-	-
ROE	106.8%	102.2%	166.9%	158.8%
Valuation				
FCFF yield	19.7%	4.0%	5.5%	5.9%
Dividend yield	7.4%	9.5%	5.5%	5.7%
EV/Revenue	2.0	2.0	1.9	1.8
EV/EBITDA	12.5	13.5	11.8	11.4
Adj. P/E	19.4	19.9	17.3	16.8

Summary Investment Thesis and Valuation

Investment Thesis

We are UW UNVR. We see rising costs, especially from packaging and oleochemicals, hurting margins, while we expect the market to remain extremely competitive. We see mid-single-digit like-for-like topline growth in FY26-27E as insufficient to drive operating leverage, as GPM will likely decline on rising costs.

Valuation

Our Dec-27 PT of Rp1,240 is based on 12x FY27E earnings. The multiple assigned implies an 8% dividend yield on UNVR (vs Indonesia's 10Y GB yield of ~7.1%). We believe investors will continue to assess the stock on yield as long as earnings growth is absent. UNVR will pay a one-off dividend yield of 10% which pertains to the separation of the ice cream business in FY26.

Performance Drivers

Market	2%
Region	31%
Macro	11%
Style	7%
Idiosyn.	49%

Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.26	0.16
Region: Indonesia	0.44	0.57
Macro:		
JPM Forecast Revision EM	-0.04	0.35
HSI Volatility Index	-0.20	-0.26
US 10 Year Yield	-0.28	-0.24
Quant Styles:		
Momentum	-0.37	-0.24
Growth	-0.31	-0.12
Quality	-0.10	-0.09

Investment Thesis, Valuation and Risks

Unilever Indonesia Tbk (*Underweight; Price Target: Rp1,240*)

Investment Thesis

We are UW UNVR. We see rising costs, especially from packaging and oleochemicals, hurting margins, while we expect the market to remain extremely competitive. We see mid-single-digit like-for-like topline growth in FY26-27E as insufficient to drive operating leverage, as GPM will likely decline on rising costs.

Valuation

Our Dec-27 PT of Rp1,240 is based on 12x FY27E earnings. The multiple assigned implies an 8% dividend yield on UNVR (vs Indonesia's 10Y GB yield of ~7.1%). We believe investors will continue to assess the stock on yield as long as earnings growth is absent. UNVR will pay a one-off dividend yield of 10% which pertains to the separation of the ice cream business in FY26.

Risks to Rating and Price Target

Upside risks to our UW rating include: 1) effective use of discounts/price cuts to regain market share, 2) effective use of ads/successful product launch, and 3) better-than-expected gross margin from lower input cost.

Unilever Indonesia Tbk: Summary of Financials

Income Statement						Cash Flow Statement					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Revenue	30,623	31,943	33,146	34,486	35,879	Cash flow from operating activities	3,795	11,718	3,587	4,631	4,941
COGS	(16,063)	(16,946)	(17,815)	(18,209)	(18,944)	o/w Depreciation & amortization	708	464	517	552	587
Gross profit	-	-	-	-	-	o/w Changes in working capital	298	968	(94)	(21)	18
SG&A	(10,044)	(9,941)	(10,397)	(10,665)	(11,121)	Cash flow from investing activities	(1,002)	829	(829)	(862)	(897)
Adj. EBITDA	4,516	5,056	4,935	5,612	5,814	o/w Capital expenditure	(719)	-	(829)	(862)	(897)
D&A	(708)	(464)	(517)	(552)	(587)	as % of sales	2.3%	-	2.5%	2.5%	2.5%
Adj. EBIT	3,807	4,592	4,418	5,061	5,226	Cash flow from financing activities	(3,143)	(7,512)	(6,407)	(3,615)	(3,725)
Net Interest	(56)	(94)	25	25	25	o/w Dividends paid	(4,502)	(5,097)	(6,525)	(3,744)	(3,866)
Adj. PBT	3,751	4,498	4,443	5,086	5,251	o/w Shares issued/(repurchased)	-	(285)	0	0	0
Tax	(846)	(961)	(1,000)	(1,144)	(1,182)	o/w Net debt issued/(repaid)	1,450	(1,450)	0	0	0
Minority Interest	0	0	0	0	0	Net change in cash	(349)	5,034	(3,648)	154	318
Adj. Net Income	2,905	3,537	3,443	3,941	4,070	Adj. Free cash flow to firm	3,119	13,503	2,739	3,750	4,024
Reported EPS	76.14	92.87	90.65	103.77	107.15	y/y Growth	(51.0%)	332.9%	(79.7%)	36.9%	7.3%
Adj. EPS	76.14	92.87	90.65	103.77	107.15						
DPS	118.00	133.84	171.80	98.58	101.79	Ratio Analysis					
Payout ratio	155.0%	144.1%	189.5%	95.0%	95.0%		FY24A	FY25A	FY26E	FY27E	FY28E
Shares outstanding	38,150	38,087	37,981	37,981	37,981	Gross margin	-	-	-	-	-
Balance Sheet						EBITDA margin	14.7%	15.8%	14.9%	16.3%	16.2%
	FY24A	FY25A	FY26E	FY27E	FY28E	EBIT margin	12.4%	14.4%	13.3%	14.7%	14.6%
Cash and cash equivalents	671	5,706	2,057	2,211	2,530	Net profit margin	9.5%	11.1%	10.4%	11.4%	11.3%
Accounts receivable	1,881	1,678	1,725	1,795	1,868	ROE	105.0%	106.8%	102.2%	166.9%	158.8%
Inventories	2,506	2,453	2,440	2,494	2,595	ROA	17.8%	19.6%	18.9%	23.6%	23.4%
Other current assets	223	708	432	432	432	ROCE	84.5%	89.4%	101.6%	166.1%	158.1%
Current assets	5,281	10,545	6,655	6,933	7,424	SG&A/Sales	32.8%	31.1%	31.4%	30.9%	31.0%
PP&E	9,322	7,146	7,457	7,768	8,078	Net debt/Equity	0.4	NM	NM	NM	NM
LT investments	-	-	-	-	-	Net debt/EBITDA	0.2	NM	NM	NM	NM
Other non current assets	1,444	2,327	2,327	2,327	2,327	Sales/Assets (x)	1.9	1.8	1.8	2.1	2.1
Total assets	16,046	20,017	16,439	17,027	17,829	Assets/Equity (x)	5.9	5.4	5.4	7.1	6.8
Short term borrowings	1,450	0	0	0	0	Interest cover (x)	80.4	53.9	NM	NM	NM
Payables	3,983	4,695	4,637	4,739	4,931	Operating leverage	190.3%	477.8%	(100.9%)	360.3%	81.0%
Other short term liabilities	6,397	9,527	8,101	8,261	8,526	Tax rate	22.6%	21.4%	22.5%	22.5%	22.5%
Current liabilities	11,830	14,223	12,738	13,000	13,457	Revenue y/y Growth	(20.7%)	4.3%	3.8%	4.0%	4.0%
Long-term debt	-	-	-	-	-	EBITDA y/y Growth	(35.6%)	12.0%	(2.4%)	13.7%	3.6%
Other long term liabilities	2,067	1,320	1,438	1,567	1,708	EPS y/y Growth	(39.5%)	22.0%	(2.4%)	14.5%	3.3%
Total liabilities	13,897	15,542	14,176	14,567	15,165	Valuation					
Shareholders' equity	2,149	4,475	2,263	2,460	2,664		FY24A	FY25A	FY26E	FY27E	FY28E
Minority interests	0	0	0	0	0	P/E (x)	23.6	19.4	19.9	17.3	16.8
Total liabilities & equity	16,046	20,017	16,439	17,027	17,829	P/BV (x)	32.0	15.3	30.3	27.9	25.8
BVPS	56.34	117.30	59.33	64.49	69.83	EV/EBITDA (x)	15.4	12.5	13.5	11.8	11.4
y/y Growth	(36.4%)	108.2%	(49.4%)	8.7%	8.3%	Dividend Yield	6.6%	7.4%	9.5%	5.5%	5.7%
Net debt/(cash)	779	(5,706)	(2,057)	(2,211)	(2,530)						

Source: Company reports and J.P. Morgan estimates.

Note: Rp in billions (except per-share data). Fiscal year ends Dec. o/w - out of which

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